



East African Cables
Connecting lives

2016

**ANNUAL REPORT AND
FINANCIAL STATEMENTS**

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WHO WE ARE



EA Cables shall continue to deliver its promise - “Connecting Lives” within the region and beyond by providing Safe, Reliable and Economical cabling solutions.

East African Cables is a premier cable manufacturer, with a footprint that spreads across East and Central Africa.

The company has four manufacturing facilities; two in Nairobi, Kenya, one in Dar es Salaam Tanzania and one in Eastern DRC.

In addition, EAC is present in Uganda, Rwanda, Burundi, Southern Sudan and Ethiopia, through a distribution network.

Products Overview

EAC manufactures an extensive range of cables for applications in domestic and Industrial lighting, as well as transmission and distribution of electricity. The company also offers Data, Telecommunication and Fiber Optic solutions with requisite accessories.

Achievements

In keeping with the commitment to world-class standards, EA Cables has recently commissioned a new manufacturing plant in Kenya. The plant has been

optimized to meet specific quality standards and is benchmarked against the best cables manufacturing facilities in the World. In addition, EA Cables has consistently maintained internationally accredited Quality Management Systems, currently based on the ISO 9001:2008 standard.

The certification was first awarded in 2003. The products have also been certified by Kenya Bureau of Standards and have attained the KEBS diamond mark of quality

Business Performance

As a business, EA Cables has consistently managed to post record returns and maximum value for its investors. Last year, the sales revenue grew to Kshs 3.25 billion (USD 32 million).

To this end, EA Cables shall continue to deliver its promise - “**Connecting Lives**” within the region and beyond by providing Safe, Reliable and Economical cabling solutions.





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EA Cables has consistently maintained internationally accredited Quality Management Systems, currently based on the ISO 9001:2008 standard.

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OUR MISSION

To be a dynamic company committed to exceeding customer expectation and increasing our market share through the provision of high quality products and services.

OUR VISION

To be the leading and preferred provider of cabling solutions.

OUR CORE VALUES

- Employees and customer safety comes first.
- Being ethical acting with respect, integrity, fairness and care in our dealings with all our partners.
- Pride in what we do and continuously pursuing maximum productivity in a safe environment.
- Getting it right the first time and consistently pursuing excellence.
- Freedom with responsibility and accountability in all we do.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fifty second Annual General Meeting of the shareholders will be held at East African Cables Limited premises on Addis Ababa Road, off Enterprise Road, Industrial Area, Nairobi, on Thursday 22nd June, 2017 at 11.00 a.m. for the following purposes:

A. Ordinary business

1. To receive and if approved, adopt the Group's audited financial statements for the year ended 31 December, 2016 together with the Chairman's, Directors' and Auditors' reports thereon.
2. To approve the Directors' remuneration as provided in the financial statements for the period ended 31 December, 2016.
3. Dividend.

The Board of Directors does not recommend payment of a dividend for the year ended 31 December 2016.

4. To elect Directors:
 - (i) In accordance with the Company's Articles of Association Mr. Michael G. Waweru retires by rotation and being eligible offer himself for re-election.
 - (ii) In accordance with the Company's Articles of Association Mr. Zephaniah G. Mbugua retires by rotation from the office as a Director of the Company and does not offer himself for re-election;
 - (iii) Mr. Bruno Thomas who is over the age of 70 years retires as a director of the Company and the Board recommends his re-appointment to the Board

5. Pursuant to the provisions of Section 769 of the Companies Act 2015, Mr. Michael G. Waweru and Mr. Peter T. Kanyago being Members of the Board Audit Committee be elected to continue to serve as Members of the said committee.
6. To appoint the auditors for the ensuing year and to authorize the Directors to fix their remuneration.
7. To transact any other business which may be properly transacted at an Annual General Meeting.

B. Special business

1. To consider and, if thought fit, to pass the following resolution as a Special Resolution;

Change of Company Name

THAT the name of the Company be and is hereby changed from "**East African Cables Limited**" to "**East African Cables Plc**" with effect from the date to be set out in the Certificate of Change of Name to be issued in that regard by the Registrar of Companies.

BY ORDER OF THE BOARD

Virginia Ndunge

Company Secretary
P.O. Box 40111- 00100 GPO
Nairobi

28th Day of April 2017

NOTE:

1. In accordance with S. 298 (1) of the Companies Act 2015, every member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf and such a proxy need not be a member of the Company. To be valid, proxy forms must be deposited at the Registered Office of the Company not less than 48 hours before the appointed time of the meeting. A form of proxy may be obtained from the Company's website www.eacables.com or from the Registered office of the company.
2. In accordance with Article 146 of the Company's Articles of Association, a summary of the financial statements and the Auditors report for the year ended 31st December 2016 have been published in two daily newspapers with nationwide circulation. A copy of the entire Annual Report and Accounts may be viewed on and obtained from the company's website www.eacables.com or from the Registered Office of the Company.

TANGAZO LA MKUTANO MKUU WA KILA MWAKA

Mnatangaziwa kwamba mkutano mkuu wa hamsini na mbili wa mwaka, wa wenye hisa, utafanyika katika majengo ya kiwanda cha East African Cables, yaliyopo Addis Ababa Road, ukitoka Enterprise Road, eneo la viwandani, Nairobi, Alhamisi, tarehe 22 Juni 2017 kuanzia saa tano asubuhi, kujadili mambo yafuatayo:

A. Shughuli za kawaida

1. Kupokea na, iwapo itakubaliwa, kuidhinisha taarifa zilizokaguliwa za kifedha za kampuni, za kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba, 2016, pamoja na ripoti ya Mwenyekiti, ile ya Wakurugenzi na ile ya Wakaguzi wa Mahesabu, zitakazofuatia.
2. Kuidhinisha ujira wa Wakurugenzi kama ilivyopendekezwa katika taarifa za kifedha za kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba, 2016.
3. Gawio:

Bodi ya Wakurugenzi haipendekezi malipo ya gawio lolote katika kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba, 2016.
4. Kuchagua Wakurugenzi:
 - (i) Kwa mujibu wa Kanuni za Ushirika za Kampuni, Bw. Michael G. Waweru anastaafu kwa awamu na kwa kuwa bado ana uwezo wa kuendelea, amejitolea ili kuchaguliwa tena.
 - (ii) Kwa mujibu wa Kanuni za Ushirika wa Kampuni, Bw. Zephaniah G. Mbugua anastaafu kwa awamu kama Mkurugenzi wa Kampuni hii naye hajitokezi ili kuchaguliwa tena;

(iii) Bw. Bruno Thomas ambaye ana umri wa zaidi ya miaka 70 vilevile anastaafu kama Mkurugenzi, lakini Bodi ya Wakurugenzi inapendekeza ateuiliwe tena katika Bodi hiyo.

5. Kwa mujibu wa kipengele cha 769 cha Sheria za Makampuni, 2015, Bw. Michael G. Waweru na Bw. Peter T. Kanyago, ambao ni wanachama katika Bodi ya Kamati ya Uhasibu, wachaguliwe tena ili waendeleo kuhudumu kama wanachama wa kamati hii.
6. Kuteua wakaguzi wa mahesabu wa mwakani na kuwapa idhini Wakurugenzi kuweka ujira wao.
7. Kuendesha shughuli nyingine yoyote ambayo inaweza kushughulikiwa katika Mkutano Mkuu wa Mwaka.

B. Shughuli muhimu

1. Kupendekeza, na ikionekana kufaa, kupitisha uamuzi ufuatao kama Uamuzi Muhimu;

Kubadilisha jina la Kampuni

Ya kwamba jina la kampuni iwe, na kutoka sasa inabadilishwa kutoka **"East African Cables Limited"** na kuwa **"East African Cables Plc"** kuanzia tarehe itakayowekwa katika Cheti cha Kubadili Jina la Kampuni ambacho kitatolewa na Msajili wa Makampuni kwa ajili hiyo.

KWA AMRI YA BODI

Virginia Ndunge

Katibu
P.O Box 40111 - 00100 GPO
Nairobi

28 Aprili, 2017

MAELEZO:

1. Kulingana na sehemu ya 298 (1) ya sheria za makampuni, 2015, kila mwanachama mwenye haki ya kuhudhuria mkutano na kupiga kura ana haki ya kuteua mwakilishi wake ili kuhudhuria mkutano na kupiga kura kwa niaba yake. Si lazima mwakilishi huyo awe ni mwanachama wa kampuni. Ili uteuzi wa mwakilishi uhalalishwe, fomu za uwakilishi lazima ziwasilishwe katika ofisi iliyosajiliwa kuendesha shughuli za kampuni, katika kipindi kisichopungua saa 48 kabla ya muda uliotengwa kuanza kwa mkutano. Fomu ya uwakilishi inaweza kupatikana kwenye tovuti ya kampuni www.eacables.com au katika ofisi iliyosajiliwa kuendesha shughuli za kampuni.
2. Kulingana na kifungu cha 146 cha kanuni za kampuni, muhtasari wa taarifa za kifedha na ripoti ya wakaguzi wa mahesabu ya kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba, 2016 umechapishwa katika magazeti mawili yanayoonezwa kila pembe ya nchi. Nakala ya Ripoti nzima ya Mwaka pamoja na Taarifa za Kifedha zinaweza kusomwa na/au kutolewa nakala kwenye tovuti ya kampuni: www.eacables.com au katika ofisi iliyosajiliwa kuendesha shughuli za kampuni.

BOARD OF DIRECTORS



Zephaniah Mbugua
Chairman (67)

Mr. Mbugua is a graduate of Makerere University with a BSc in Chemistry and Mathematics. He is a successful serial entrepreneur, developing businesses and partnerships across Africa for the last 36 years. He is the founder member and Chief Executive Officer of Abcon Group a Holding company with varied business interests. He is also a director of Proctor & Allan EA Ltd, Real Insurance (Tanzania) and Zeniki Investment Ltd.



Peter Arina
CEO (53)

Mr. Peter Arina joined the Group in October 2015. He holds a Bachelor of Commerce degree (Business Administration) from the University of Nairobi. He has over 25 years' experience in Brands/ Marketing/ Sales/ Customer Development and Distribution Management. He previously served as General Manager, Consumer Business and as Chief Commercial Officer at Safaricom Limited. He also served as Customer Development Director at Unilever Kenya.



Nganga Njiinu, CFA
CEO, TransCentury (39)

Since joining TransCentury Group in 2008, Njiinu has held various roles in corporate finance, portfolio management, business development as well as originating and developing opportunities in the infrastructure space.

Prior to joining TransCentury, Njiinu worked for Coldwell Banker Residential Brokerage in the USA for 7 years, where he was involved in strategy, financial planning and analysis as well as evaluation and integration of acquisitions.

Njiinu has an MBA in Finance and Investment Management from the University of Dallas in Irving, Texas and a Bachelor of Science in International Business from United States International University. Njiinu is also a CFA charter holder.

BOARD OF DIRECTORS



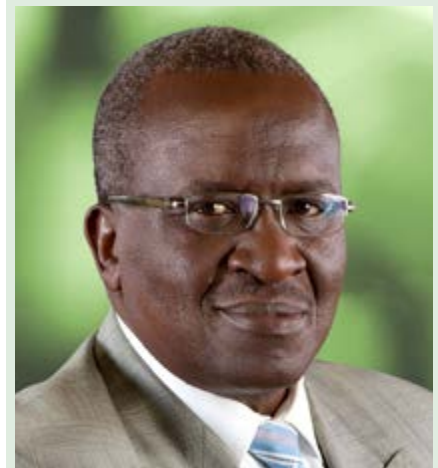
Bruno Thomas
(74)

Consultant, Bruno Thomas, formerly of the Nexans Group, has a wealth of experience in the energy sector having been, the executive vice president of Nexans Group for the rest of World Area. In addition he was previously President of the Energy Cables Division, President of the board of Alcatel Kabel KG and Director of Industrial Strategy.



Peter Kanyago, MBS, EBS
(69)

Mr. Kanyago is a fellow of the Institute of Certified Public Accountants of Kenya, member of the Institute of Certified Secretaries of Kenya and holds an MBA in Industrial Management. As an entrepreneur, he holds directorships in companies he has built, including East African Courier Ltd and East Africa Elevator Company (ThyssenKrupp). His contribution to the nation has been recognized in his being awarded the Moran of the order of the Burning Spear (MBS) and Elder of the order of the Burning Spear (EBS) of the Republic of Kenya. He is also a fellow of Kenya Institute of Management (KIM).



Amb. Dennis Awori
(62)

Amb. Dennis Awori earned his BSC with Honors degree in Aeronautical Engineering from the University of Manchester in 1977. He began his career with Cooper Motor Corporation Ltd, and later moved to Motor Mart Group (later Lonrho Motors East Africa) where he rose to the position of Managing Director in 1995. He was later appointed the Ambassador of the Republic of Kenya to Japan and during his tenure he spearheaded the establishment of the Kenyan Embassy in Korea, as well as built strong relations between Kenya and the two countries. He currently sits in a number of boards including Toyota Kenya Limited where he is the Chairman, Bank of Africa and Kenya Airways. Amb. Awori is a keen sportsman and has been Chairman of both the Kenya Rugby Football Union and the Uganda Rugby Football Union in consecutive terms between 1990 and 1997.

BOARD OF DIRECTORS



Michael G. Waweru
(66)

M.G. Waweru is a graduate of University of Nairobi where he attained his Bachelor of Commerce Honors Degree. He is also a holder of an MBA degree from the Strathmore Business School. He is a Fellow of the Association of Chartered Accountants (FCCA), Institute of Certified Public Accountants of Kenya (ICPA) and a member of the Institute of Directors and Certified Trainers on Corporate Governance. Mr. Waweru was awarded the Chief of the order of Burning Spear CBS, by H.E The President of Kenya, due to his work in the revenue administration. He was the Commissioner General – Kenya Revenue Authority from 2003 – 2012.



Virginia Ndunge
(47)

Virginia Ndunge is a Certified Public Secretary and a member of the Institute of the Certified Public Secretaries of Kenya (ICPSK). She holds a Bachelor of Commerce degree in Finance and Diploma in Project Management. She has substantial experience in Company Secretarial having worked with Emu Registrars, Certified Public Secretaries for over 12 years. In July 2013, she joined Kaplan and Stratton Advocates where she is head of Company Secretarial Division.

“

The group has invested in modern technology and has diversified its product range to include Cross-linked polyethylene (XLPE) insulated armoured cables, Halogen free fire retardant cables and Aerial bundled conductors. This is an addition to the Polyvinyl Chloride (PVC) insulated cables and bare aluminium conductors.

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MANAGEMENT TEAM



Peter Arina
Chief Executive Officer



Paul Muigai
Chief Operations Officer



Joseph Kinyua
Finance Manager



Johnson Kanene
Maintenance Manager



Gertrude Kagiri
HR and Admin Manager



Gerald Gatitu Gitau,
Ag. Head of Sales



Geoffrey Odhiambo
General Manager, EAC Tanzania



Joseph Kamau
Production Manager

“

The power sector has continued to expand driven by the regional government's quest to increase electrification access to its population. Mega power projects in Hydro, Natural gas and Geo-thermal have been commissioned within the region to increase power generation to meet the demand.

”

BANDIA NI HATARI EPUKA NUKSI

INTRODUCING THE NEW LOOK LABEL WITH A VERIFICATION PANEL



HAKIKISHA NI EAST AFRICAN CABLES

1. Look out for the concealed verification number panel.
2. Scratch the panel.
3. SMS the 12 digit code to 38353 for free.
4. You will receive a confirmation sms.



**WAYA FAKE
MAISHA MBOVU**



East African Cables
Connecting lives

DIRECTORS, OFFICES AND STATUTORY INFORMATION

DIRECTORS

Zephaniah Mbugua (Chairman)
Peter Arina
Peter Kanyago
Michael Waweru
Bruno Thomas*
Trans-Century Limited
Dennis Awori
*French

SECRETARY

Virginia Ndunge
Certified Public Secretary (Kenya)
PO Box 40111 - 00100
Nairobi

AUDITORS

KPMG Kenya
8th Floor, ABC Towers
Waiyaki Way
PO Box 40612
00100 Nairobi GPO

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

East African Cables Limited
Industrial Area
Addis Ababa Road
PO Box 18243 - 00500
Nairobi

ADVOCATES

Kaplan & Stratton Advocates
9th Floor, Williamson House
4th Ngong Avenue
PO Box 40111
00100 Nairobi GPO

Majanja Luseno Advocates
Jeevan Bharati Building
5th Flr. Harambee Avenue
P.O. Box 74580 - 00200
Nairobi - Kenya

BANKERS

Standard Chartered Bank Kenya Limited
Kenyatta Avenue Branch
PO Box 40310
00100 Nairobi GPO

Commercial Bank of Africa Limited
Upper Hill Branch
PO Box 30437
00100 Nairobi GPO

Ecobank Kenya Limited
Ecobank Towers, 13th Floor
Muindi Mbingu Street
PO Box 49584 - 00100 Nairobi GPO

REGISTRARS

Custody & Registrar Services Limited
6th Floor, Bruce House
Standard Street
PO Box 8484
00100 Nairobi GPO

Muthaura Mugambi Ayugi & Njonjo Advocates
4th Floor, Capitol Hill Square
Upper Hill
PO Box 8418 - 00200
Nairobi

Credit Bank Limited
Industrial Area Branch
PO Box 61064
00200 Nairobi GPO

Kenya Commercial Bank Limited
Industrial Area Branch
PO Box 18031 - 00500
Nairobi

Chase Bank (Kenya) Limited
Hurlingham Branch
PO Box 66049 - 00800
Nairobi

REPORT OF THE DIRECTORS FOR THE YEAR ENDED 31 DECEMBER 2016

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2016, which disclose the state of affairs of the company and the group.

1. Activities

The group's principal activities continue to be the manufacture and sale of electrical cables and conductors.

2. Group results

	2016 KShs'000	2015 KShs'000
Loss before taxation	(810,349)	(1,087,004)
Income tax credit	227,747	345,800
Loss for the year	(582,602)	(741,204)

The detailed group results for the year are set out on page 41.

3. Dividends

The directors do not recommend the payment of a dividend (2015 – Nil).

4. Directors

The directors who served since 1 January 2016 and up to the date of this report are set out on page 7 to 9.

5. Business review

Our products

The group has invested in modern technology and has diversified its product range to include Cross-linked polyethylene (XLPE) insulated armoured cables, Halogen free fire retardant cables and Aerial bundled conductors. This is an addition to the Polyvinyl Chloride (PVC) insulated cables and bare aluminium conductors. Our products include; House Wiring copper cables, Flexible cables, Power and Control cables, Auto and Battery cables, Aluminium overhead conductors and Super Enamelled Winding wire. The group adheres strictly to cable making standards to produce high quality cables.

Our business environment

The power sector has continued to expand driven by the regional government's quest to increase electrification access to its population. Mega power projects in Hydro, Natural gas and Geo-thermal have been commissioned within the region to increase power generation to meet the demand. With the need to transmit and distribute this power, the group is strategically positioned to exploit this great opportunity. Positively, the regional governments have also demanded that materials used towards these electrification programmes be procured locally. Our business has benefitted from this new legislation and is currently servicing 3-year frame-work contracts awarded by the Kenya and Tanzania utilities respectively. This support from the regional governments will create more employment opportunities to our youth and increase return to our shareholders.

Business performance

Group revenue declined by 2% attributed to London Metal Exchange price fluctuations. Despite the drop in revenues, the group recorded a 31% increase in gross profit levels owing to production efficiencies derived from the modernized factory and lower raw material prices. In the year under review, the group embarked on a program aimed at controlling costs, managing receivables and inventory. This resulted to increase in cash generated from operations by 306% from Kshs 147m to Kshs 597m. Stringent cost management, overhead savings, focus on receivables management and stability in foreign exchange resulted to improvement in group's net earnings by 21% from a loss of Kshs 741 million to a loss of Kshs 583 million.

REPORT OF THE DIRECTORS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

2017 outlook

The group has formulated a clear turn-around strategy to return to full profitability. With a strong order book and an expanded production capacity, the group has strengthened its relations with key suppliers for sustained supply of raw materials at Just-in-time program while at the same time focusing on shorter collection periods from its customers to improve its cash flows. Additionally, the group continues to seek improved credit facilities that meet its operating requirements and reduce interest costs including refinancing current facilities and enhancements to meet increased working capital requirements. The Board of Directors is confident that this strategy will bear fruits in the medium term and provide deserved returns to stakeholders.

6. Relevant audit information

The directors in office at the date of this report confirm that

- (a) There is no relevant audit information of which the company's auditors is unaware; and
- (b) Each director has taken all the steps that they ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of this information.

7. Auditors

The Company's auditors, KPMG Kenya, continue in office in accordance with Section 719 of the Kenyan Companies Act, 2015.

8. Approval of financial statements

The financial statements were approved at a meeting of the directors held on 28th April 2017.

BY ORDER OF THE BOARD

Virginia Ndunge

Company Secretary
P.O. Box 40111- 00100 GPO
Nairobi

28th Day of April 2017

RIPOTI YA WAKURUGENZI YA KIPINDI CHA MATUMIZI YA PESA KILICHOKAMILIKA TAREHE 31 DISEMBA 2016

Wakurugenzi wana furaha kuwasilisha ripoti yao pamoja na taarifa za ukaguzi wa mahesabu za kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba, 2016, ambayo inaweka wazi hali ya mambo katika kampuni, na shirika kwa jumla.

- Shughuli**
Shughuli kuu za shirika hili zinasalia kuwa utengenezaji na uuzaji wa nyaya za stima pamoja na vipitisha umeme.

- Matokeo**

	2016 KShs'000	2015 KShs'000
Faida kabla ya ushuru	(810,349)	(1,087,004)
Rejesho kwa pato la ushuru	227,747	345,800
Hasara mwaka huo	(582,602)	(741,204)

Matokeo ya kina ya kikundi cha mwaka yameangaziwa katika ukurasa wa arobaini na moja.

- Gawio**
Wakurugenzi hawapendekezi malipo ya gawio lolote katika kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba, 2016. (2015 – 0).
- Wakurugenzi**
Wakurugenzi waliohudumu tangu tarehe moja Januari, 2016 hadi wakati wa kuchapishwa kwa ripoti hii, wameangaziwa katika ukurasa wa saba hadi tisa.
- Mtazamo wa kibiashara**

Bidhaa zetu

Kampuni hii imewekeza katika teknolojia ya kisasa na pia kupanua idadi ya bidhaa zake ili kujumuisha nyaya zilizotiwa vizuia-umeme zijulikanazo kama Cross-linked polythylene (XLPE), zile za Halogen Free Fire Retardant na nyaya aina ya Aerial bundled conductors (ABC). Nyaya hizi zinazidisha idadi katika zile aina ya Polyvinyl Chloride (PVC) zilizotiwa vizuia-umeme na nyaya wazi za alumini. Bidhaa zetu zinajumuisha nyaya kama vile House Wiring copper cables, Flexible cables, Power and Control cables, Auto and Battery cables, Aluminium overhead conductors na Super Enamelled Winding wire. Kampuni hii inatilia maanani zaidi viwango vya utengenezaji wa nyaya ili kutengeneza nyaya za viwango vya juu zaidi.

Mazingira ya kibiashara

Sekta ya umeme imeendelea kupanuka kutokana na juhudi za serikali za nchi za Afrika Mashariki kuzidi kuwaunganishia umeme raia wao. Miradi mikubwa ya umeme unaozalishwa kupitia Maji, Gesi na Mvuke vilevile imezinduliwa katika nchi hizi kuzidisha uzalishaji wa nguvu za umeme ili kutosheleza mahitaji. Kutokana na haja ya kusafirisha na kugawa huo umeme, kampuni hii imeweka mikakati bora zaidi ya kujinufaisha na mpango huu wa kipekee.

Jambo la kutia moyo ni kwamba, serikali za nchi hizi pia zimeweka masharti kwamba ni bidhaa zilizounuliwa katika nchi hizi tu ndizo zitakazotumiwa katika mpango huu wa kuwaunganishia wakazi umeme. Kampuni yetu imenufaika pakubwa kutokana na sheria hii mpya na kwa sasa tunatekeleza kandarasi za miaka mitatu ambayo tulipewa, katika kampuni za Kenya na Tanzania, mtawalia. Kuungwa mkono huku na serikali hizi kutatoa nafasi nyingi za kazi kwa vijana mbali na kuzidisha mapato kwa wadau wetu.

RIPOTI YA WAKURUGENZI YA KIPINDI CHA MATUMIZI YA PESA KILICHOKAMILIKA TAREHE 31 DISEMBA 2016 (kuendelea)

Utendaji wa kibiashara

Mapato ya kampuni yalishuka kwa asilimia mbili (2%) kutokana na kutotabirika kwa bei za chuma katika Soko la Ubadilishanaji la London. Pamoja na kushuka kwa mapato, kampuni ilipata ongezeko la faida kabla ya kutozwa ushuru kwa asilimia thelathini na moja (31%). Ongezeko hili lilitokana na imariko katika uzalishaji kufuatia ubora wa kiwanda chetu kilichoimarishwa na kuwa cha kisasa pamoja na bei za chini za malighafi. Katika mwaka unaoangaziwa, kampuni hii ilianzisha mpango unaonuiwa kudhibiti gharama pamoja na kudhibiti madeni tunayodai na vilevile idadi ya mali yetu. Hatua hii ilichangia ongezeko la pesa zilizotokana na shughuli zetu kwa asilimia mia tatu na sita (306%) kutoka shilingi milioni 147 hadi shilingi milioni 597. Udhibiti mkali wa matumizi ya pesa, kuweka akiba ya pesa zilizopangiwa matumizi mengine, kulenga udhibiti wa madeni na uthabiti katika ubadilishanaji wa pesa za kigeni ulichangia ongezeko katika mapato ya kampuni baada ya ushuru kwa asilimia ishirini na tano (21%), kutoka katika hasara ya shilingi milioni 741 hadi hasara ya shilingi milioni 583.

Matarajio ya 2017

Kampuni hii imeweka mkakati mwafaka wa kuirejesha katika hali ya kupata faida kamili. Huku ikiwa na uthabiti katika uagizaji wa bidhaa zake pamoja na kupanuliwa kwa uwezo wake wa uzalishaji bidhaa, kampuni hii imethibiti uhusiano wake na wateja wake wakuu ili kuhakikisha mpango wa malighafi kufikishwa katika kampuni kwa wakati ufao na wakati huo huo ikilenga kupunguza muda wa kuchukua pesa kutoka kwa wateja wake ili kuimarisha biashara. Zaidi, kampuni hii inaendelea kutafuta huduma bora za mikopo ambazo zinaoana na matakwa ya shughuli zake na pia kupunguza gharama ya riba, ikiwa ni pamoja na kutoa upya mkopo kwa biashara za sasa na hata kuziboresha ili kufikia matakwa ya mtaji wa kuendeshea biashara. Bodi ya Wakurugenzi ina imani kwamba mkakati huu utazaa matunda katika kipindi kisichokuwa kirefu, na pia kutoa mapato mwafaka kwa wadau.

6. Ujumbe muhimu kuhusu ukaguzi wa mahesabu

Wakurugenzi walio mamlakani wakati wa kutolewa kwa ripoti hii wanathibitisha kwamba:

- (a) Hakuna taarifa muhimu ya ukaguzi wa mahesabu ambayo wakaguzi wa mahesabu wa kampuni walikosa kupata, na
- (b) Kila mkurugenzi amechukua hatua zote ambazo alifaa kuchukua kama mkurugenzi ili kuwa na ufahamu wa taarifa zozote kuhusu ukaguzi wa mahesabu na kubainisha kuwa wakaguzi wa mahesabu wa kampuni pia wana taarifa zile.

7. Wakaguzi wa Mahesabu

Wakaguzi wa mahesabu wa kampuni, KPMG Kenya, wataendelea kuhudumu kwa mujibu wa kifungu cha 719 cha Sheria za Makampuni ya Kenya, 2015.

8. Kuidhinishwa kwa Taarifa za Kifedha

Taarifa za kifedha ziliidhinishwa katika mkutano wa wakurugenzi uliofanyika tarehe 28 Aprili, 2017.

KWA AMRI YA BODI

Virginia Ndunge

Katibu
P.O Box 40111 - 00100 GPO
Nairobi

28 Aprili, 2017

CORPORATE GOVERNANCE STATEMENT

The board East African Cables Limited recognizes the importance of corporate governance and as such it carries out its mandate with honesty, openness and integrity and is committed to applying and enforcing relevant corporate governance principles, policies and practices within the Group. The board is committed to the principles of accountability, compliance with the law and to the provision of relevant and meaningful reporting to all stakeholders.

BOARD OF DIRECTORS

The Board consists of the Chairman, Z. G. Mbugua, five non-executive directors and the Managing Director Peter Arina. The directors' biographies appear on page 7 to 9. All non-executive directors are independent of management and have diverse skills, experience and competencies appropriate for effective management of the company's business.

This board meets on a quarterly basis as scheduled during the year, with additional meetings when necessary. The directors are given appropriate and timely information so that they can maintain full and effective control over strategic, financial, operational and compliance issues. Except for the direction and guidance on general policy, the board has delegated authority for conduct of day-to-day business to the Managing Director. The Board nonetheless retains responsibility in maintaining the company's overall internal control on financial, operational and compliance issues. All our directors have also attended various corporate governance courses organized by accredited institutions.

All non-executive directors are subject to periodic re-appointment in accordance with company's Articles of Association which requires that one third of the longest serving directors (since their last election) retire by rotation every year and if eligible their names are submitted for re-election at the Annual General meeting.

An age limit of seventy (70) years is recommended for directors serving in the Board. However, the Board can recommend for re-election, a director who is above this age based on his/her expertise and competencies. Such a director is required to retire at the Annual General Meeting for re-election.

The composition of the board and attendance during the year is as shown below.

	MEMBER	ATTENDANCE
1	ZG Mbugua	8 / 8
2	N Njiinu	8 / 8
3	PT Kanyago	6 / 8
4	MG Waweru	7 / 8
5	JB Thomas	6 / 8
6	D Awori	6 / 8
7	P Arina	8 / 8
8	V Ndunge	8 / 8

COMMITTEES OF THE BOARD

The following standing committees assist the Board in the discharge of its duties. These committees meet regularly under the terms of reference set by the board.

AUDIT COMMITTEE

The board has constituted an audit committee which meets quarterly or as required. Its membership is composed of M.G. Waweru and P.T. Kanyago who are non-executive directors. This committee is responsible for ensuring integrity of financial information and communication to shareholders, regulatory compliance, reviewing annual budgets, reviewing the consistency of the accounting policies applied by the company, reviewing the effectiveness of internal control systems and overseeing business risk management as well as monitoring and reviewing the effectiveness of both the internal audit function and the external auditors. The committee receives reports from both external and internal auditors and also monitors implementation of audit recommendations, on behalf of the Board.

The audit committee is comprised of members who are well experienced in financial matters including reporting and risk management. The members of the audit committee, together with a record of their attendance at scheduled meetings during the year are set out in the table below.

	MEMBER	ATTENDANCE
1	MG Waweru	7 / 7
2	PT Kanyago	7 / 7
3	N Njiinu	6 / 7
4	P Arina	7 / 7
5	V Ndunge	7 / 7

Human Resource Committee

This committee is chaired by a non-executive Director, P.T. Kanyago and meets twice a year or as required. It is responsible for proposing nominees for appointment to the Board, monitoring and appraising the performance of management, reviewing human resources policies and determining the remuneration of senior management and the Board.

Its membership and attendance during the year is as shown in the table below.

	MEMBER	ATTENDANCE
1	PT Kanyago	3 / 3
2	ZG Mbugua	3 / 3
3	N Njiinu	3 / 3
4	P Arina	3 / 3

CORPORATE GOVERNANCE STATEMENT (Continued)

STRATEGY COMMITTEE

Membership of this committee comprises of all the non-executive directors of the company and Mr. G. Njoroge, a non-executive director of East African Cables (Tz) Ltd who was appointed to the committee in order to benefit from his expertise in the electrical business.

The main responsibility of the committee is to chart the strategy of the company and to oversee implementation of strategic decisions of the board which include product and or geographical diversification, strategic partnerships and also review proposals involving capital expenditure. The committee met thrice in the year. Here below is the attendance schedule during the year.

	MEMBER	ATTENDANCE
1	ZG Mbugua	3 / 3
2	N Njiinu	2 / 3
3	PT Kanyago	2 / 3
4	MG Waweru	2 / 3
5	GM Njoroge	1 / 3
6	JB Thomas	1 / 3
7	D Awori	2 / 3
8	P Arina	3 / 3
9	V Ndunge	3 / 3

COMMERCIAL COMMITTEE

The Board of Directors constituted this committee with the primary mandate of evaluating the Group's route to market, customer service and regional diversification. This committee also evaluates regional market data and advises the board on the overall market strategy.

The membership of this committee comprise of two non-executive directors and the managing director while all the senior managers are also invited. Here below is the attendance schedule during the year.

	MEMBER	ATTENDANCE
1	D Awori	2 / 2
2	ZG Mbugua	2 / 2
3	N Njiinu	2 / 2
4	P Arina	2 / 2

The Managing Director is a member of all committees while senior managers are invited to the relevant committees. The committees submit their findings and recommendations at the quarterly board meetings.

COMMUNICATION WITH SHAREHOLDERS

The company is committed to ensuring that shareholders and the financial markets are provided with full and timely information about its performance. This is achieved through:

- Publication of half year and annual results of its financial performance in the daily newspapers,
- The company holds Annual General Meeting to discuss full year performance with shareholders,
- Interactive website containing all relevant information relating to the company.

In this regard, the company complies with the obligations contained in the Nairobi Securities Exchange's Listing Rules, the Capital Markets Authority Act and the Kenyan Companies Act.

DIRECTORS' LOANS

There were no loans made to the directors at any time during the year by virtue of their position in the Group.

DIRECTORS' REMUNERATION REPORT

The aggregate amount of emoluments paid to the directors for services rendered during the financial year ended 2016 is disclosed on note 25 to the financial statements. Neither at the end of the financial year nor at any time during the year did there exist any arrangement to which the company is a party, whereby directors might acquire benefits by means of the acquisition of the company's shares.

All business transactions with the directors or related parties are carried out at arm's length. Such transactions have been disclosed on note 25.

RISK MANAGEMENT AND CONTROLS

The board recognizes that managing risk to ensure optimal mix between risk and return is an integral part of achieving corporate goals. The board has put in place processes for identifying, assessing, managing and monitoring risks to ensure that the risk of failure to achieve business objectives is mitigated. The company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These cover systems for obtaining authority for major transactions and for ensuring compliance with the laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties. These processes are reviewed by Internal Auditor who reports directly to the Audit Committee of the Board.

CORPORATE GOVERNANCE STATEMENT (Continued)

A comprehensive management accounting system is also in place providing financial and operational performance measurement indicators. Regular senior management meetings are held to monitor performance and to agree on measures for improvement.

EMPLOYMENT EQUITY

The Group is committed to the creation of an organization that supports equality of all employees and is committed to elimination of any form of discrimination in the work place. Our practice is to comply with all laws prohibiting discrimination.

BUSINESS ETHICS

The directors attach great importance to the need to conduct the business and operations of the company with integrity and in accordance with good corporate governance practice as set out in the Capital Markets Authority Guidelines for listed companies in Kenya and any other internationally developed principles on good governance. The company adopts the best principles of good corporate culture that requires the directors

and all employees to maintain the highest personal and ethical standards and to act in good faith and in the interest of the company. The company has developed and implemented a code of conduct that sets out guidelines and rules, which are based on good governance principles of:

- Full compliance with the law
- Application of best accounting practices
- Safety of all stakeholders
- Product quality and customer focus
- Care of our environment
- Application of best business practices
- Fair competition

SHARE REGISTER DETAILS

Directors' interests in the shares of the company, the distribution of the Company shareholding and analysis of the ten major shareholders as at 31st December 2016 were as follows:

CORPORATE GOVERNANCE STATEMENT (Continued)

DIRECTORS' INTEREST

Name of Director	Number of shares
Mr. Z.G. Mbugua	48,700
Mr. M.G. Waweru	747,700
Mr. P. Arina	1,673,564
Mr. P.T. Kanyago	3,750

MAJOR SHAREHOLDERS

No. Name(s)	No. of shares	% shareholding
1. Cable Holdings (Kenya) Ltd	173,071,149	68.38
2. Zed Holdings Ltd	4,239,025	1.67
3. Ali Mohamed Adam	3,846,562	1.52
4. Abdulrehman Abdulkarim Juma	3,082,600	1.22
5. Mbogori Holdings Limited	2,421,500	0.96
6. The Jubilee Insurance Co. of Kenya Ltd	2,277,250	0.90
7. Patrick Njogu Kariuki	2,244,900	0.89
8. Peter Arina Kaka Munyiri	1,673,564	0.66
9. Cyrus Njiru	1,564,950	0.62
10. Jitendra Chandubhai Patel & Kirankumar Chandubhai Patel	1,419,462	0.56
11. Others	57,284,038	22.62
Total	253,125,000	100.00

DISTRIBUTION OF SHAREHOLDING

Shares range	No. of Shareholders	No. of Shares held	% shareholding
1 - 500	6,628	1,376,582	0.54
501 - 5,000	6,178	10,237,690	4.05
5,001 - 10,000	595	4,197,390	1.66
10,001 - 100,000	726	19,650,838	7.76
100,001 - 1,000,000	83	20,630,438	8.15
Above 1,000,000	13	197,032,062	77.84
Total	14,223	253,125,000	100.00

SHAREHOLDER ANALYSIS BY DOMICILE

Domicile	No. of Shareholders	No. of Shares held	%shareholding
Local institutions	835	189,895,857	75.02
Local individuals	13,288	60,992,793	24.10
Foreign institutions	9	503,089	0.20
Foreign individuals	91	1,733,261	0.68
Total	14,223	253,125,000	100.00

TAARIFA KUHUSU UTAWALA WA SHIRIKA

Bodi ya kampuni ya East African Cables Limited inatambua umuhimu wa utawala wa shirika. Kwa sababu hii, bodi hii inaendesha shughuli zake kwa uaminifu, uwazi na uadilifu, na imejitolea kutumia na kutekeleza kanuni, sera na majukumu mwafaka ya utawala wa shirika katika kampuni. Bodi hii vilevile imejitolea kutimiza kanuni za uwajibikaji, kufuata sheria na pia kuzingatia kifungu cha kutoa ripoti zenye maana na zenye umuhimu kwa wadau wote.

BODI YA WAKURUGENZI

Bodi hii inajumuisha Mwenyekiti, Z. G. Mbugua, wakurugenzi watano wasio watendaji, na Mkurugenzi Mkuu, Bwana Peter Arina. Wasifu wa wakurugenzi hawa unapatikana katika ukurasa wa 7 hadi 9. Wakurugenzi wote wasio watendaji huendesha shughuli zao bila kuingiliwa na usimamizi wa kampuni, nao wana maarifa mengi, utaalamu na tajiriba pana, ambayo ni mwafaka katika uongozi bora wenye kuzifaa shughuli za kampuni.

Bodi hii hukutana mara nne kwa mwaka kama ilivyopangiwa mwaka huu, ikiwemo mikutano mingine inapobidi. Wakurugenzi wake hupewa habari mwafaka na kwa wakati ufao ili waweze kudumisha udhibiti kamili wa masuala ya kimkakati, kifedha, kiutendakazi na ikibali. Mbali na kuelekeza na kuongoza na kuelekeza katika sera za jumla, Bodi hii imempa Mkurugenzi Mkuu mamlaka ya kuendesha shughuli za kawaida za kampuni. Hata hivyo, jukumu la kudumisha udhibiti wa jumla ya mambo ya ndani ya kampuni katika masuala ya kifedha, utendaji kazi na ikibali linasalia kuwa la Bodi hii. Aidha, wakurugenzi wetu wote wamehudhuria kozi mbalimbali za utawala wa shirika, ambazo ziliandaliwa na taasisi zilizoidhinishwa.

Wakurugenzi wote wasio watendaji wanaweza kuteuliwa tena upya baada ya kipindi fulani, kwa mujibu wa kanuni za kampuni ambazo zinahitaji kuwa thuluthi moja ya wakurugenzi waliohudumu kwa muda mrefu zaidi (tangu uchaguzi wao uliopita) wastaafu kwa awamu kila mwaka, na ikiwa bado wana haki ya kuchaguliwa tena, majina yao yawasilishwe katika Mkutano Mkuu wa Mwaka ili wachaguliwe upya.

Wakurugenzi wanaohudumu katika Bodi hii wanapendekezwa wasiwe wenye umri uliozidi miaka sabini (70). Hata hivyo, Bodi inaweza kupendekeza kuteuliwa tena kwa mkurugenzi ambaye amepitisha umri huu kwa misingi ya tajiriba ya maarifa yake. Mkurugenzi kama huyo anafaa kustaafu wakati wa Mkutano Mkuu wa Mwaka ili achaguliwe upya.

Hili hapa jedwali linaloonesha walio kwenye bodi hii na jinsi walivyohudhuria mkutano katika mwaka unaoangaziwa.

	MWANACHAMA	MAHUDHURIO
1	ZG Mbugua	8 / 8
2	N Njiinu	8 / 8
3	PT Kanyago	6 / 8
4	MG Waweru	7 / 8
5	JB Thomas	6 / 8
6	D Awori	6 / 8
7	P Arina	8 / 8
8	V Ndunge	8 / 8

KAMATI ZA BODI

Kamati zifuatazo, zilizopo kwa sasa, zinasisaidia Bodi hii kutekeleza majukumu yake. Kamati hizi hukutana mara kwa mara, chini ya hadidu za rejea zilizotengwa na Bodi hii.

KAMATI YA UKAGUZI WA MAHESABU

Bodi hii imebuni kamati ya ukaguzi wa mahesabu ambayo hukutana kila baada ya miezi mitatu au inapohitajika. Wanachama wake ni Bw. M. G. Waweru na P. T. Kanyago ambao ni wakurugenzi wasio watendaji. Kamati hii ina wajibu wa kuhakikisha kuwepo kwa maadili katika taarifa za kifedha na mawasiliano na wadau, kufuata sheria za uratibu, kukagua bajeti ya kampuni ya kila mwaka, kukagua usambamba wa sera za uhasibu ambazo zinatumia na kampuni, kukagua ubora wa mifumo ya udhibiti wa ndani na kutathmini udhibiti wa hatari za kibiashara pamoja na kuchunguza na kutathmini ubora wa shughuli za ukaguzi wa mahesabu na wakaguzi wa ndani na zile za wakaguzi wa nje. Kamati hii vilevile inapokea ripoti kutoka kwa wakaguzi wa mahesabu wa kampuni na wale wa nje, pamoja na kuchunguza mapendekezo yao, kwa niaba ya Bodi.

Kamati hii ina wanachama wenye tajiriba pana katika masuala ya kifedha ikiwa ni pamoja na uripoti na udhibiti wa hatari. Wanachama wa kamati hii wameorodheshwa katika jedwali lifuatalo, pamoja na mahudhurio yao ya mikutano mwaka huu.

	MWANACHAMA	MAHUDHURIO
1	MG Waweru	7 / 7
2	PT Kanyago	7 / 7
3	N Njiinu	6 / 7
4	P Arina	7 / 7
5	V Ndunge	7 / 7

TAARIFA KUHUSU UTAWALA WA SHIRIKA (Kuendeleza)

KAMATI YA WAFANYAKAZI

Kamati hii iko chini ya uwenyekiti wa P.T. Kanyago ambaye ni mkurugenzi asiye mtendaji. Kamati hii hukutana mara mbili kwa mwaka ama inapohitajika. Kamati hii ina wajibu wa kuipendekezea Bodi watu wanaofaa kuteuliwa, kutathmini na kukadiriya utendaji kazi wa wasimamizi na pia kuchunguza upya sera zote za utendaji kazi na kutoa uamuzi kuhusu ujira wa mameneja, kuhakiki sera zinazohusu wafanyakazi na kuamua kuhusu mshahara ya mameneja wakuu na Bodi.

Wanachama wake wameorodheshwa katika jedwali lifuatalo, pamoja na jinsi ambavyo walihudhuria mikutano katika mwaka unaoangaziwa.

	MWANACHAMA	MAHUDHURIO
1	PT Kanyago	3 / 3
2	ZG Mbugua	3 / 3
3	N Njiinu	3 / 3
4	P Arina	3 / 3

KAMATI YA MIKAKATI

Uanachama wa kamati hii unajumuisha wakurugenzi wote wasio watendaji katika kampuni, na Bw. G. Njoroge ambaye ni mkurugenzi asiye mtendaji wa East African Cables (Tz) Ltd. Bw Njoroge aliteuliwa katika kamati ili kuinufaisha kutokana na maarifa yake katika masuala ya umeme.

Jukumu kuu la kamati hii ni kupanga mikakati ya kampuni na kuhakikisha utekelezwaji wa maamuzi ya kimkakati ya bodi, ambayo ni pamoja na upanuzi wa bidhaa na maeneo ya mauzo, ubia wa kimkakati na kuhakiki mapendekezo yanayohusu matumizi ya mtaji. Kamati hii ilikutana mara tatu mwaka huu. Ifuatayo ni jinsi mahudhuria ya kamati hii yalivyokuwa katika mwaka unaoangaziwa.

	MWANACHAMA	MAHUDHURIO
1	ZG Mbugua	3 / 3
2	N Njiinu	2 / 3
3	PT Kanyago	2 / 3
4	MG Waweru	2 / 3
5	GM Njoroge	1 / 3
6	JB Thomas	1 / 3
7	D Awori	2 / 3
8	P Arina	3 / 3
9	V Ndunge	3 / 3

KAMATI YA BIASHARA

Kamati hii ilibuniwa na Bodi ya Wakurugenzi kwa lengo kuu la kutathmini hatua za kampuni katika soko lake, huduma kwa wateja na upanuzi katika maeneo tofauti. Kamati hii vilevile inatathmini data kutoka katika masoko ya kieneo na kuishauri Bodi kuhusu mikakati ya jumla ya soko.

Uanachama wa kamati hii unajumuisha wakurugenzi wawili wasio watendaji na Mkurugenzi Mkuu, ingawa mameneja wote wakuu pia hualikwa. Katika mwaka unaoangaziwa, wanachama wa kamati hii walihudhuria mikutano yao ifuatavyo.

	MWANACHAMA	MAHUDHURIO
1	D Awori	2 / 2
2	ZG Mbugua	2 / 2
3	N Njiinu	2 / 2
4	P Arina	2 / 2

Mkurugenzi Mkuu ni mwanachama wa kamati zote ilhali mameneja wakuu hualikwa katika kamati husika. Kamati hizi huwasilisha ripoti pamoja na mapendekezo yao katika mkutano wa bodi, kila baada ya miezi mitatu.

MAWASILIANO NA WADAU

Kampuni hii imejitolea kuhakikisha kuwa wadau pamoja na masoko ya fedha yanapata habari kamili kuhusu utendaji wake, kwa wakati ufuaao. Hili limefanikishwa kupitia:

- (i) Kuchapishwa kwa matokeo ya utendaji wake wa kifedha kwa nusu mwaka na mwaka mzima katika magazeti ya kila asiku,
- (ii) Kwa kampuni kufanya mkutano mkuu wa mwaka kujadili utendaji wake katika mwaka mzima pamoja na wadau,
- (iii) Kwa maelezo muhimu kuhusu kampuni ambayo yanapatikana kwenye tovuti

Kwa sababu hii, kampuni hii inatimiza wajibu uliowekwa katika sheria za uratibishaji za soko la hisa la Nairobi, sheria za Mamlaka ya Masoko ya Mtaji na sheria za kampuni za Kenya.

MIKOPO YA WAKURUGENZI

Hapakuwa na mikopo iliyotolewa kwa wakurugenzi wakati wowote mwakani kwa misingi ya nafasi yao katika shirika.

TAARIFA KUHUSU UTAWALA WA SHIRIKA (Kuendeleza)

RIPOTI YA UJIRA WA WAKURUGENZI

Jumla ya kiasi cha mshahara waliolipwa wakurugenzi kwa huduma walizotoa katika kipindi cha matumizi ya pesa cha mwaka 2016 yamefafanuliwa katika kijeledi 25 katika taarifa za kifedha. Hakuna wakati, iwe ni mwishoni mwa kipindi hiki cha matumizi ya pesa au wakati wowote ule wa mwaka, kulipotokea mpango wowote unaoshirikisha kampuni, ambapo wakurugenzi waliweza kujipa faida kwa kununua hisa za kampuni.

Shughuli zote za kibiashara zinazowahusisha wakurugenzi au washirika huendesha kwa uwazi. Shughuli hizo zimefafanuliwa katika kijeledi 25.

UDHIBITI NA UZUIAJI WA HATARI

Bodi hii inatambua kuwa kudhibiti hatari ili kudumisha usawa mwafaka kati ya hatari na mapato ni sehemu muhimu katika kuafiki malengo ya shirika. Hivyo basi, bodi hii imeweka taratibu za kutambua, kutathmini, kuchunguza na kudhibiti hatari ili kuhakikisha hatari za kukosa kufikia malengo ya kibiashara zimepunguzwa. Kampuni vilevile ina taratibu bainifu na mikakati ya udhibiti wa kifedha ili kuhakikisha utoaji wa ripoti za uhasibu zilizo kamili na zenye taarifa za kweli. Haya yanajumuisha mifumo ya kujipa mamlaka kwa shughuli kuu za kibiashara na kuhakikisha uzingativu wa sheria na kanuni ambazo zina athari kubwa kifedha. Aidha, taratibu zimewekwa kuhakikisha kwamba rasilimali zinaangaliwa vizuri kihali na kwamba muundo wa shirika unabakia ili kuhakikisha muainisho maalumu wa majukumu. Taratibu hizi huchunguzwa na Mkaguzi wa Ndani ambaye huripoti moja kwa moja kwa kamati ya Uhasibu, katika Bodi.

Mfumo wa kina unaohusu uwajibikaji wa mameneja umewekwa ili kutoa vipimo vya utendaji wa kifedha na vya kiutendakazi. Mikutano ya mara kwa mara ya mameneja wakuu hufanywa ili kuchunguza utendaji na kukubaliana kuhusu taratibu za kujiimarisha.

USAWA KATIKA KUAJIRI

Kampuni hii imejitolea kujenga shirika linalotilia maanani usawa wa wafanyakazi wote na ambalo limejitolea kumaliza kabisa ubaguzi wa aina yoyote kazini. Desturi yetu ni kufuata sheria zote zinazopiga marufuku ubaguzi.

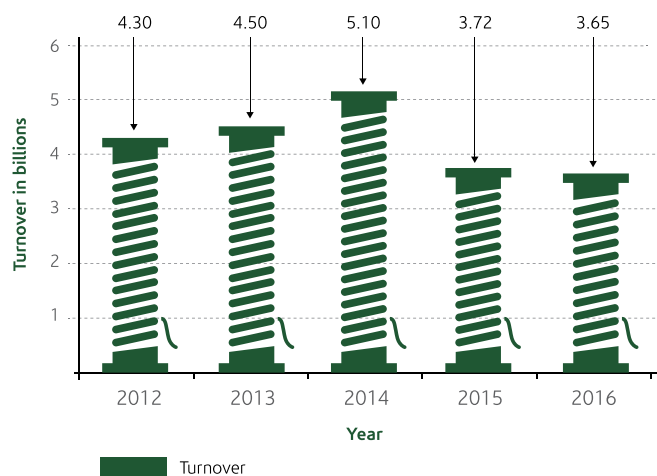
MAADILI YA KIBIASHARA

Wakurugenzi hutilia maanani sana haja ya kuendesha biashara na shughuli za kampuni kwa uadilifu mkubwa na kwa mujibu wa sera bora za utawala wa shirika kama ilivyoainishwa kwenye Mwongozo wa Mamlaka ya Masoko ya Mtaji kwa makampuni yaliyoratibiwa nchini Kenya, pamoja na maadili mengine ya kimataifa yanayohusu utawala bora. Kampuni hii huidhinisha sera bora zaidi za utamaduni bora wa shirika, zinazowahitaji wakurugenzi na wafanyakazi wote kudumisha viwango vya juu vya maadili ya kibinafsi na ya kikazi pamoja na kuwa kila walifanyalo liwe ni kwa nia njema na lenye kuinufaisha kampuni. Kampuni hii imebuni na kutekeleza kanuni ya maadili inayotoa miongozo na sheria ambazo zinaegemea sera nzuri za utawala kama vile:

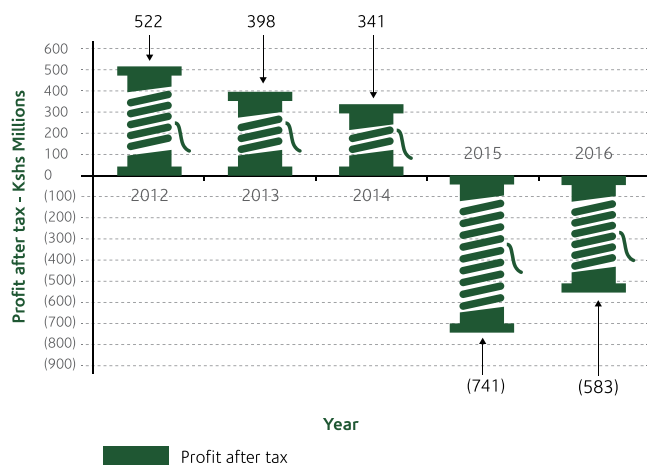
- Kufuata sheria kikamilifu
- Kutumia njia bora zaidi za uhasibu
- Usalama wa washikadau wote
- Ubora wa bidhaa na kuwaangazia wateja
- Kutunza mazingira yetu
- Kutumia njia bora zaidi katika kuendesha biashara
- Ushindani wa haki

FIVE YEAR COMPARATIVE RESULTS

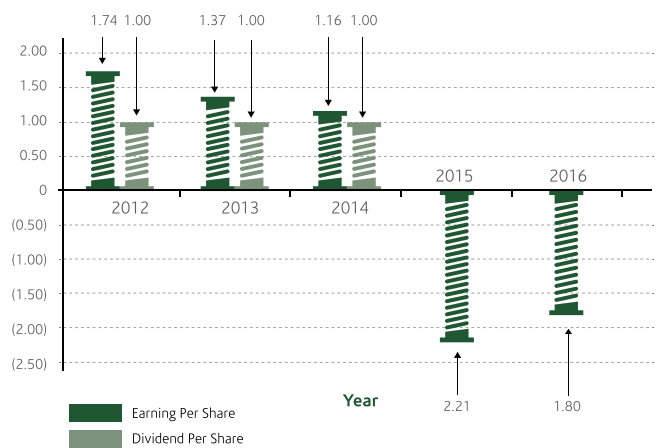
Sales Trend



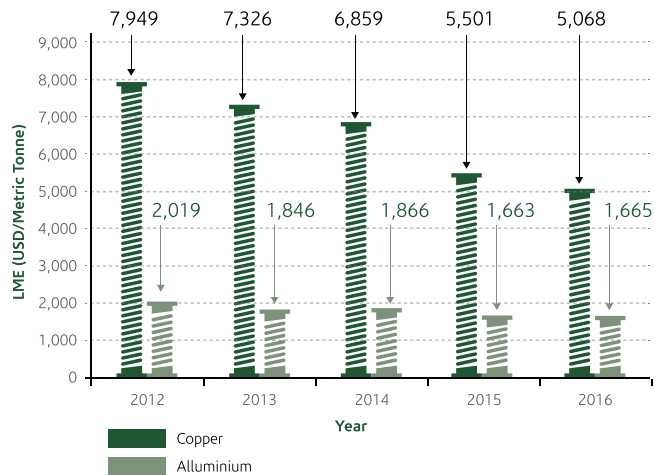
Profit After Tax



Earnings and Dividends



London Metal Exchange Cash Settlement Price per Metric Tonne



STATEMENT OF DIRECTOR'S RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the consolidated and separate financial statements of East African Cables Limited (group and company) set out on pages 41 to 103 which comprise the consolidated and company statements of financial position as at 31 December 2016, and consolidated and company statement of profit or loss and other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015, the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the operating results of the group for that year. It also requires the Directors to ensure the company and its subsidiary keep proper accounting records which disclose with reasonable accuracy the financial position of the group and the company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the group's and the company's ability to continue as a going concern and have no reason to believe the company and its subsidiary will not be a going concern for at least the next twelve months from the date of this statement.

APPROVAL OF THE FINANCIAL STATEMENTS

The financial statements, as indicated above, were approved by the Board of Directors on 28th April 2017 and were signed on its behalf by:



.....
Zephaniah Mbugua
Chairman



.....
Peter Arina
Chief Executive Officer

Date: 28th April 2017

TAARIFA YA MAJUKUMU YA WAKURUGENZI

Wakurugenzi wanawajibikia kuandaa na kuwasilisha taarifa za kifedha za shirika zima, na kampuni ya East African Cables Limited na matawi yake kama ilivyoangaziwa katika ukurasa wa 41 hadi 103, ambazo zinajumuisha taarifa kuhusu hali za kifedha za shirika na kampuni kufikia tarehe 31 Disemba 2016, na taarifa kamilifu za mapato ya shirika, ikiwa ni pamoja na faida au hasara; taarifa za shirika, na za kampuni, kuhusu mabadiliko katika thamani ya hisa pamoja na taarifa za shirika kuhusu mapato na matumizi ya pesa za mwaka huo uliomalizika na vilevile taarifa za jumla za kifedha, na muhtasari wa sera muhimu za uhasibu na taarifa nyingine zilizoolezewa.

Majukumu ya wakurugenzi ni pamoja na: kuamua kuwa misingi ya uhasibu iliyoolezewa katika kijeledi 2 ni yenye kukubalika katika kuandaa na kuwasilisha taarifa za kifedha katika hali hizo; kuandaa na kuwasilisha taarifa za kifedha kwa mujibu wa Viwango vya Kimataifa vya Uripoti wa Kifedha (IFRS), na katika hali inayokubaliwa na Sheria za Makampuni za Kenya na katika hali yoyote ya udhibiti wa ndani ambayo wakurugenzi wataamua kuwa ni muhimu katika kuwezesha kuandaliwa kwa taarifa za kifedha ambazo hazina makosa; aidha ya ulaghai au kasoro.

Chini ya Sheria za Makampuni za Kenya, 2015, wakurugenzi wanahitajika kuandaa taarifa za kifedha za kila mwaka, zinazoakisi ukweli na hali halisi ya mambo katika shirika na kampuni kufikia mwisho wa kipindi cha matumizi ya pesa cha mwaka huo, na zile za matokeo ya utendaji wa shirika ya mwaka huo. Sheria hizo vilevile zinawataka wakurugenzi wahakikishe kampuni na matawi yake yanaweka rekodi sahihi za uhasibu, ambazo zinaweka wazi kabisa hali ya kifedha ya shirika na kampuni.

Wakurugenzi huziwajibikia taarifa za kifedha za kila mwaka, ambazo zimeandaliwa kutumia sera mwafaka za uhasibu na kudhibitiwa na maamuzi bora na yenye kufaa pamoja na ukadiraji, ambao unakubalika na Viwango vya Kimataifa vya Uripoti wa Kifedha na kwa mujibu wa Sheria za Makampuni za Kenya, 2015. Maoni ya wakurugenzi ni kuwa taarifa hizi za kifedha zinatoa mtazamo wa kweli kuhusiana na hali ya kifedha ya shirika na kampuni, pamoja na ile ya matokeo ya uendeshaji wa za shirika.

Zaidi, wakurugenzi wanawajibikia uhifadhi wa rekodi za uhasibu ambazo zinaweza kurejelewa katika matayarisho ya taarifa za kifedha, pamoja na mifumo ya kutosha ya udhibiti wa ndani.

Wakurugenzi wamefanya tathmini ya shirika na uwezo wa kampuni kuendelea na kufikia uamuzi kuwa kampuni inaendelea vizuri na inaleta faida, na wanaamini kuwa kampuni pamoja na matawi yake hayatakosa kupata faida kwa takriban mwaka mmoja ujao baada ya kutolewa kwa taarifa hii.

KUIDHINISHWA KWA TAARIFA ZA KIFEDHA

Taarifa hizi za kifedha, kama ilivyoolezewa hapo juu, ziliidhinishwa na Bodi ya Wakurugenzi tarehe 28 Aprili, 2017 na kutiwa sahihi kwa niaba yake na:



.....
Zephaniah Mbugua
Mwenyekiti



.....
Peter Arina
Afisa Mkuu

Tarehe: 28 Aprili 2017

CHAIRMAN'S STATEMENT



“

The regional governments continued with their drive for increasing electrification access which created more opportunities for our business to partner with regional utilities.

“

Dear Stakeholders

It gives me great pleasure to present to you the annual report and financial statements for the year ended 31st December 2016. The Year under review was a challenging one, however, the solid foundation built in the last years, ensured marked improvement in performance. The last three years has seen the company triple production capacity through an aggressive expansion program, positioning East African Cables well to realize the demand the market provides. However, the expansion has come at a price to the company's profitability, and in the last two financial years the company recorded a loss attributed to pro-longed interruptions of production schedules during machine installations, commissioning and operator training to achieve the required capacity and efficiencies. This resulted to depressed copper volumes and also constrained working capital.

Our Business Environment

In the year under review, our economy remained stable registering growth of 5.8% up from 5.7% recorded in 2015 while annual average inflation eased to 6.3% from 6.6% in same period. The global energy market witnessed relatively high crude oil production and inventories that led to reduction in international oil prices throughout 2016 thereby containing inflation. Other regional economies namely; Tanzania, Uganda and Rwanda also registered relative stability registering growths of 7.2%, 4.9% and 6% respectively while Burundi improved from (4%) in 2015 to (0.5%) in 2016. Despite the stability in the overall Gross Domestic Product, the Construction Industry, which we serve, registered a slower growth of 9.2% compared to 13.9% growth recorded in 2015 attributable to reduced credit to the construction industry.

Unlike in 2015, the Kenya Shilling remained relatively stable weakening marginally from Kshs 98.20 in 2015 to Kshs 101.50 in 2016. This translated to stability in the cost base for our operations.

On the global scene, London Metal Exchange prices for Copper raw materials decreased by 8% to USD 5,068 per

Metric Tonne in 2016 from USD 5,501 per Metric Tonne in 2015 while those of Aluminium raw materials remained stable at USD 1,655 per Metric Tonne. Whereas the decrease in metal prices makes our products more affordable to consumers, it does affect our revenues negatively.

In 2016, the regional governments continued with their drive for increasing electrification access which created more opportunities for our business to partner with regional utilities. The regional governments have also come up with legislation aimed at ensuring that materials required in these projects are sourced locally. To this end, the Group won tenders valued at KShs 4.2 billion from Kenya Power and Lighting Company Limited (KPLC) and Tanzania Electricity Supply Company Limited (TANESCO) under three-year framework contracts. These and other prospects in last mile connectivity projects, mining and construction sectors will boost our volumes and result in positive growth of our revenues. The board and management are keenly managing these dynamics to ensure that the business taps maximum benefits.

Going Concern

The Board confirms that the financial statements are prepared on a going concern basis and is satisfied that the Group and Company have adequate resources to continue in business for the foreseeable future. In making this assessment, the Directors have considered a wide range of information relating to present and anticipated future conditions, including future projections of profitability, current order book, cash flows, financing restructure arrangements and other resources. For this reason, the financial statements have been prepared on the basis of accounting policies applicable to a going concern. I would like to draw your attention to Note 2(f) of these financial statements which details initiatives taken by the Board and Management to return the business back to profitability. The Board is committed to creating shareholder value going forward.

CHAIRMAN'S STATEMENT (Continued)

“

I would like to draw your attention to Note 2(f) of these financial statements which details initiatives taken by the Board and Management to return the business back to profitability. The Board is committed to creating shareholder value going forward.

“

Performance and returns to shareholders

The Group recorded a 2% decrease in revenue resulting from depressed copper volumes and decline in London Metal Exchange price fluctuations. The decrease in copper volumes was however compensated by increased aluminium volumes related to supplies to regional utilities. Despite the drop in revenues, the group recorded a 31% increase in gross profit levels owing to production efficiencies derived from the modernized factory and lower raw material prices. In the year under review, the group embarked on a program aimed at cost management and working capital optimization.

This resulted to increase in cash generated from operations by 306% from KShs 147m to KShs 597m. Stringent cost management, overhead savings, focus on receivables management and stability in foreign exchange resulted to improvement in group's net earnings by 21% from a loss of KShs 741 million recorded in 2015 to a loss of KShs 583 million in 2016.

Following the loss recorded in the year, the Board does not recommend payment of a dividend.

Reporting standards

The company continues to adopt the presentation and disclosure requirements of the International Financial Reporting Standards (IFRS), The Companies Act, 2015 and other regulatory requirements. Changes and developments in the standards and other regulations within the financial period under review have been complied with.

Risk management

The board recognizes that risk management is an integral part of creating value. The board has put in place processes for identifying, assessing, and proactively managing risks to ensure that the company's business objectives are achieved. The board has retained Deloitte and Touche to assist in assessment and management of risk within the group. The firm works in collaboration with TransCentury Limited's Internal Audit team to advice the board on best practices to be employed to better manage our risk exposure.

Looking forward

Sustained developments in power infrastructure projects within the region provide immense opportunities for the Group. These developments informed the need to expand the production capacity to give the business an upper hand in supplying these projects. While recovering from the major capacity expansion program, there has been need to restructure our existing facilities and seek more financing to bridge our current working capital deficit. The group has formulated a turn-around strategy to return to full profitability. The Board of Directors is confident that this strategy will bear fruits in the medium term and provide deserved returns to stakeholders.

I would like to thank the Board, management, staff, suppliers and all our stakeholders for their contribution to the success of this business.



Zephaniah Gitau Mbugua
Chairman

TAARIFA YA MWENYEKITI



“

Serikali za eneo la Afrika Mashariki ziliendeleza ari zao za kuwaunganisha watu wengi na umeme, hali ambayo ilitoa fursa nyingi kwa kampuni yetu kushiriana na kampuni nyingine katika nchi hizo.

“

Nina furaha kuu kuwasilisha kwenu ripoti ya kila mwaka pamoja na taarifa za kifedha za kipindi cha matumizi ya peza kilichomalizika tarehe 31 Desemba, 2016. Mwaka wa 2016 ulikuwa na changamoto nyingi kwa biashara yetu. Hata hivyo, kutokana na msingi thabiti tuliokamilisha mapema kwaka huu tunaoangazia, tuliweza kurekodi imariko dhahiri. Hasara tulizopata katika vipindi viwili vilivyopita vya matumizi ya pesa zilichangiwa hasa na kutatizwa kwa muda mrefu kwa ratiba za shughuli za uzalishaji, wakati wa kuweka mitambo mpya, kuteua na kuwapa mafunzo waendesha mitambo hiyo ili kufanikisha ubora unaohitajika. Hatua hii ilisababisha upungufu katika viwango vya shaba nyekundu na vilevile kukwanza nguvukazi yetu.

Mazingira yetu ya biashara

Katika mwaka unaoangaziwa, uchumi wa nchi yetu ulizidi kuwa thabiti na kusajili ukuaji wa asilimia tano nukta nane (5.8%), kutoka asilimia tano nukta saba (5.7%) katika mwaka wa 2015. Gharama ya maisha nayo ilishuka kutoka asilimia sita nukta sita (6.6%) hadi asilimia sita nukta tatu (6.3%) mwaka huo. Soko la kawi duniani ilishuhudia ongezeko mkubwa katika uzalishaji wa mafuta ambayo hayajasafishwa pamoja na bidhaa ambazo zilichangia kupungua kwa bei ya mafuta duniani katika mwaka wa 2016, hivyo basi kudhubiti mfumko wa bei za bidhaa. Nchi nyingine za eneo hili: Tanzania, Uganda na Rwanda pia zilikuwa na uthabiti katika uchumi wao na kusajili ukuaji wa asilimia saba nukta mbili (7.2%), nne nukta tisa (4.9%) na asilimia sita (6%) mtawalia, huku uchumi wa taifa la Burundi ukiimarika kutoka asilimia (-4%) mnamo 2015 hadi asilimia (-0.5). Licha ya uthabiti katika Jumla ya Pato la Nyumbani, sekta ya ujenzi ambayo tunatoa huduma zetu, ilishuhudia upungufu katika ukuaji, kutoka asilimia kumi na tatu nukta tisa, (13.9%) ya mwaka wa 2015 hadi asilimia tisa nukta mbili (9.2%). Hii ni kutokana na kupunguzwa kwa deni zilizopewa sekta ya ujenzi.

Kinyume na mwaka wa 2015, thamani ya Shilingi ya Kenya ilisalia thabiti kwa kiasi kikubwa, ikipungua kwa kiasi kidogo

tu, kutoka Kshs 98.20 mwaka wa 2015 hadi Kshs 101.50 mwaka wa 2016. Hali hii ilipelekea uthabiti wa gharama katika operesheni zetu.

Duniani, bei za malighafi ya shaba nyekundu katika Soko la Ubadilishanaji Chuma la London, zilipungua kwa asilimia nane (8%) hadi Dola ya Marekani 5,068 kwa kila tani katika mwaka wa 2016 kutoka Dola ya Marekani 5,501 kwa kila tani mnamo mwaka wa 2015. Bei za malighafi ya Alumini nazo zilisalia vilevile; Dola ya Marekani 1,655 kwa kila tani. Huku kupungua kwa bei za chuma kukifanya bidhaa zetu kuwa nafuu kwa wateja, kupungua huko kunaathiri vibaya mapato yetu.

Mnamo 2016, serikali za eneo la Afrika Mashariki ziliendeleza ari zao za kuwaunganisha watu wengi na umeme, hali ambayo ilitoa fursa nyingi kwa kampuni yetu kushiriana na kampuni nyingine katika nchi hizo. Serikali hizi vilevile zimeidhinisha sheria inayolenga kuhakikisha kuwa vifaa vinavyotumiwa katika miradi hii havinunuliwi kutoka nje ya eneo hili. Kwa sababu hii, kampuni hii ilishinda zabuni yenye thamani ya shilingi bilioni nne nukta mbili (KShs 4.2b) za Marekani kutoka Kenya Power and Lighting Company (KPLC) na Tanzania Electricity Supply Company Limited (TANESCO) kwa mikataba ya miaka mitatu. Miradi hii na miradi mingine tarajiwa katika mipango ya last mile connectivity, sekta ya uchimbaji madini na ile ya ujenzi itakuza mauzo yetu na kutupa ukuaji mzuri wa mapato. Bodi na usimamizi wa kampuni wanazidhibiti kwa makini hali hizi ili kuhakikisha kampuni hii inapata manufaa ya juu zaidi.

Biashara

Bodi inathibitisha kuwa taarifa za kifedha huandaliwa kwa misingi ya kibiashara na imeridhika kwamba Shirika hili na Kampuni ina rasilimali za kutosha kuendelea kuwepo katika biashara katika kipindi kirefu kijacho. Katika kufanya tathmini hii, Wakurugenzi wametilia maanani taarifa nyingi zinazohusiana na hali za sasa na zile zinazotarajiwa hapo baadaye, ikiwa ni pamoja na kuangazia faida za hapo baadaye, kitabu cha sasa chenye taarifa

TAARIFA YA MWENYEKITI (Kuendeleza)

“

Bodi hii imeweka hatua za kutambua, kutathmini, kudhibiti na kuchunguza hatari ili kuhakikisha kwamba malengo ya kibiashara ya kampuni yameafikiwa. Bodi hii imehifadhi kampuni ya Deloitte and Touche ili kuendelea kutathmini na kudhibiti hatari ndani ya kampuni.

“

Biashara (Kuendeleza)

za jinsi oda hutumwa kwa kampuni, hali ya kupokea na kutumia pesa, mipango ya kufanyia mabadiliko ufadhili na nyenzo nyingine.

Kwa sababu hii, taarifa hizo za kifedha zimeandaliwa kwa misingi ya sera za uhasibu zinazotumika kibiashara. Ningependa kuwarejesha katika kijejezi 2(f) chenye hizi taarifa za kifedha ambazo zinaeleza kwa kina hatua zilizochukuliwa na Bodi ya Usimamizi kuirudisha kampuni hii katika njia ya kupata faida. Tukiendelea, Bodi hii imejitolea kujenga thamani kwa wadau.

Utendaji na faida kwa wadau

Mapato ya kampuni yalishuka kwa asilimia mbili (2%) kutokana na uhaba wa shaba nyekundu na kushuka na kutotabirika kwa bei za chuma katika Soko la Ubadilishanaji Chuma la London. Upungufu wa viwango vya shaba nyekundu hata hivyo ulifidiwa na ongezeko la viwango vya alumini kutokana na usambazaji katika makampuni ya kieneo. Licha ya kushuka kwa mapato, kampuni ilipata ongezeko la asilimia 31% ya faida kabla ya kutozwa ushuru kutokana na imariko katika uzalishaji. Imariko hili liliwezesha na ubora wa kiwanda kilichokarabatiwa na kuwa cha kisasa pamoja na bei ya chini ya malighafi. Katika mwaka huu unaoangaziwa, kampuni hii ilianzisha mpango unaolenga kudhibiti matumizi ya pesa na kuhakikisha kiwango cha juu cha matumizi ya mtaji. Hatua hii ilichangia ongezeko la pesa zilizotokana na shughuli zetu kwa asilimia mia tatu na sita (306%) kutoka shilingi milioni 147 hadi shilingi milioni 597. Udhhibiti mkali wa matumizi ya pesa, kuweka akiba ya pesa zilizopangiwa matumizi mengine, kulenga udhibiti wa madeni na uthabiti katika ubadilishanaji wa pesa za kigeni ulichangia ongezeko katika mapato ya kampuni baada ya ushuru kwa asilimia ishirini na moja (21%), kutoka katika hasara ya shilingi milioni 740 iliyorekodiwa mnamo mwaka wa 2015 hadi hasara ya shilingi milioni 583 katika mwaka wa 2016.

Kufuatia hasara ambayo kampuni ilipata mwaka huu, Bodi haipendekezi kulipwa kwa gawio lolote.

Viwango vya Uripoti

Kampuni inazidi kuzingatia mahitaji ya uwasilishaji na kuweka wazi ya Halmashauri ya Kimataifa ya Uripoti wa Kifedha (IFRS), Sheria za Makampuni, 2015 na mahitaji mengine ya ukadiriaji. Mabadiliko na ustawi katika viwango hivyo na sheria nyingine katika kipindi cha matumizi ya pesa cha mwaka unaoangaziwa, yamezingatiwa.

Udhhibiti wa Hatari

Bodi hii inatambua kuwa kudhibiti hatari ni sehemu muhimu ya kupata thamani. Bodi hii imeweka hatua za kutambua, kutathmini, kudhibiti na kuchunguza hatari ili kuhakikisha kwamba malengo ya kibiashara ya kampuni yameafikiwa. Bodi hii imehifadhi kampuni ya Deloitte and Touche ili kuendelea kutathmini na kudhibiti hatari ndani ya kampuni. Kampuni ya Deloitte and Touche inafanya kazi kwa ushirika na kikosi cha Uhasibu wa ndani cha kampuni ya TransCentury Limited ili kuishauri bodi halmashauri kuhusiana na mifumo bora zaidi za kutumiwa katika kudhibiti hatari inayotukabili.

Matarajio

Kudumishwa kwa maendeleo katika miundomsingi ya miradi ya umeme katika eneo la Afrika Mashariki kunatoa fusa nzuri zaidi kwa Shirika hili. Maendeleo haya yalichangia haja ya kupanua uwezo wetu wa kuzalisha bidhaa ili kuipa kampuni hii uwezo mkubwa wa kutoa bidhaa kwa miradi hii. Huku tukijikwamua kutoka katika mpango mkuu wa upanuzi wa viwango vya uzalishaji, kumekuwepo haja ya kuvifanyia mabadiliko viwanda vyetu vya sasa pamoja na kutafuta ufadhili zaidi wa kifedha ili kuziba upungufu uliopo sasa wa mtaji wa kuendesha biashara. Kampuni hii imebuni mkakati mwafaka ambao utaiwezesha kuirejelea kikamilifu hali yake ya kupata faida. Bodi ya Wakurugenzi ina uhakika kwamba mkakati huu utazaa matunda katika kipindi kifupi na kutoa faida zinazostahili kwa wadau.

Ningependa kuishukuru Bodi, mameneja, wafanyakazi, wasambazaji na washikadau wetu wote kwa mchango wao katika ufanisi wa kampuni hii.



Zephaniah Gitau Mbugua
Mwenyekiti

CORPORATE SOCIAL RESPONSIBILITY REPORT



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Our business recognizes that it does not operate in a vacuum and that it has a critical role in creating a sustainable economic and social ecosystem for mutual benefit of all stakeholders.

“

Corporate social responsibility

Our business recognizes that it does not operate in a vacuum and that it has a critical role in creating a sustainable economic and social ecosystem for mutual benefit of all stakeholders. The key pillars in our social responsibility are:

- Product safety;
- Health and Safety awareness;
- Youth empowerment;
- Extending a helping hand

Product safety

Over the last five decades the company has been in operation, it has been guided by its core values to deliver on its promises. “Employees and customer safety comes first” is one of these values. The company has put measures in place to safeguard safety of its employees and the users of its products.

As the world moves towards green technology, the company has introduced value added products like Halogen Free Fire Retardant (HFFR) cables and Aerial Bundled Conductors (ABC). HFFR are highly recommended in high density residential areas due to their ability to retard fire while ABC cables are used by utilities to transmit power in forested areas without need to cut trees thereby conserving our environment.

The company has also organize forums to educate all users of electrical products on the dangers of using counterfeit cables due to risk of fires. Partnerships with the local media, regulatory authorities including Anti-Counterfeit Agency, Kenya Bureau of Standards, Kenya Revenue Authority and lobby groups like Kenya Association of Manufacturers continue to bear fruits.

Employee wellness

The company appreciates the role of a healthy human resource as its most crucial asset. With the increase in lifestyle related illness, it is paramount to increase staff awareness to live a healthy life. In the year under review, the company rolled-out various programs to achieve this goal. These programs included quarterly health checks, advice on stress management, cancer and diabetes awareness, managing hypertension, counselling sessions and financial guidance workshops. We put great emphasis on staff overall wellness to ensure healthy workforce that is effective both at work and home.

Youth empowerment

In support of nurturing talents, we have designed apprenticeship and internship programs to offer college students practical experience in engineering, procurement, finance, stores management and human

CORPORATE SOCIAL RESPONSIBILITY REPORT (Continued)



East African Cables adopted a home at the SOS Children's Village in Buru Buru which we have continued to support financially.

resource management. These programs prepare the students for their future careers and provide them with an opportunity to experiment their ideas for the betterment of the society.

The company has also supported the youth and special groups including women and people with disability to participate in tenders for local utilities and government institutions. Under the new procurement legislation 30% of procurement by government and its agencies should be sourced from the special groups i.e. youth, women and people with disability. East African Cables is at the forefront in providing this support to these groups.

Our fundi club continues to expand throughout the country as we continue to enrol licensed electricians. The company recognizes the importance of having well rounded partners who not only provide key technical advice to our customers, but also run profitable businesses. To this end, the company has rolled out an entrepreneurship training program extended to all club members.

Extending a helping hand

The company has identified areas to offer support within the community. East African Cables adopted a home at the SOS Children's Village in Buru Buru which we have continued to support financially. This has given the needy children a family to interact with and look up to while also offering our staff the opportunity to give back their time and energy to a noble cause.

The company has also maintained its support to Our Lady of Nazareth Primary School in Mukuru slums. The infirmary equipped with a nurse located within the school serves 2,500 children and the residents of the nearby slums.

Other initiatives that the company supported in the year were Beyond Zero Campaign organized by the First Lady and Standard Chartered Marathon. These initiatives are improving the well-being of our society by reducing maternal deaths, supporting mothers with child-birth related complications and the blind in our society.

The company affirms its commitment to take care of its environment by being a responsible citizen.

RIPOTI YA WAJIBU WA SHIRIKA KWA JAMII



“

Our business recognizes that it does not operate in a vacuum and that it has a critical role in creating a sustainable economic and social ecosystem for mutual benefit of all stakeholders.

“

Kampuni yetu inatambua kuwa haijitegemei yenyewe, na kwamba ina jukumu kuu katika kujenga muamala wa kudumu kiuchumi na kijamii kwa manufaa halisi kwa wadau wote. Mihimili mikuu katika wajibu wetu kwa jamii ni:

- Usaama wa bidhaa;
- Hamasisho kuhusu Afya na Usalama;
- Kuwawezesha vijana;
- Kutoa msaada

Usalama wa bidhaa

Katika miongo mitano iliyopita ambayo kampuni hii imekuwa ikiendesha shughuli zake, kampuni hii imekuwa ikiongozwa na misingi ya thamani yake katika kutimiza ahadi zake. “Tunaupa kipaumbele usalama wa wafanyakazi na wateja” ni moja kati ya thamani hizi. Kampuni hii imeweka mipango kabambe ya kulinda usalama wa wafanyakazi wake na watumiaji wa bidhaa zake

Huku dunia ikielekea katika matumizi teknolojia isiyo na madhara kwa mazingira, kampuni hii imezindua bidhaa zenye thamani zaidi, kama vile nyaya aina ya Halogen Free Fire Retardant (HFFR) na Aerial Bundled Conductors (ABC). Nyaya za HFFR ni bora zaidi kwa matumizi katika maeneo ya makazi yaliyo na wakazi wengi kutokana na uwezo wao wa kuzuilia moto, nyaya za ABC zinatumwa na makampuni kupitisha umeme katika maeneo yenye misitu, bila ya kukata miti hivyo basi kudumisha utunzaji wa mazingira yetu

Kampuni hii vilevile imepanga nyarsha za kuwaelimisha watumiaji wote wa bidhaa za umeme kuhusu hatari za kutumia nyaya ghushi kutokana na hatari za moto. Ushirikiano wetu na vyombo vya habari nchini, mamlaka mbalimbali kama vile Mamlaka ya Kukabiliana na Bidhaa Ghushi, Shirika la Kukadiria Ubora wa Bidhaa Nchini, Mamlaka ya Kukusanya Ushuru Nchini na makundi ya kutoa hamasisho kama vile Muungano wa Makampuni nchini unazidi kuzaa matunda.

Uzima wa wafanyakazi

Kampuni hii inathamini afya njema ya wafanyakazi wake kama nguzo muhimu katika kutekeleza majukumu yake. Kutokana na ongezeko la magonjwa yanayotokana na jinsi tunavyoishi, ni muhimu kuzidisha hamasisho kwa wafanyakazi ili waishi maisha yenye afya njema. Katika mwaka unaoangaziwa, kampuni hii ilizindua mipango mbalimbali ili kufanikisha lengo hili. Mipango hii ilijumuisha wafanyakazi kufanyiwa uchunguzi wa kiafya, ushauri kuhusu jinsi ya kudhibiti mzongo wa akili, hamasisho kuhusu magonjwa ya saratani na kisukari, udhibiti wa shinikizo la damu, vikao vya ushauri-nasaha pamoja na makongamano ya kuwapa ushauri kuhusu matumizi ya pesa. Tunatilia mkazo uzima wa jumla wa kila mfanyakazi ili kuhakikisha nguvukazi yenye afya, na uwezo wa kushughulika, kazini na nyumbani.

RIPOTI YA WAJIBU WA SHIRIKA KWA JAMII (Kuendeleza)



East African Cables at Our Lady of Nazareth Primary School

Kuwawezesha vijana

Katika juhudi zetu za kuunga mkono ukuzaji wa vipawa, tumebuni mpango ya wafanyakazi wetu kuwapa mafunzo wanafunzi wa vyuo vya ufundi pamoja na ule wa wanafunzi hao kupata fursa ya maarifa ya nyanjani katika uhandisi, ununuzi, fedha, usimamizi wa stoo na usimamizi wa wafanyakazi. Mipango hii huwaandaa wanafunzi hao katika taaluma yao pamoja na kuwa huwapa fursa ya kuyajaribu maarifa waliyonayo kwa manufaa ya jamii.

Kampuni hii vilevile imefadhili vijana na makundi maalumu wakiwemo wanawake na walemavu kushiriki katika zabuni za makampuni za humu nchini na taasisi za serikali. Katika sheria mpya ya ununuzi, asilimia thelathini (30%) ya ununuzi wa serikali na mashirika yake unafaa kupewa makundi maalumu, yaani, vijana, akina mama na walemavu. Hivyo basi, East African Cables iko mstari wa mbele katika kutekeleza hili kwa makundi haya.

Klabu yetu ya mafundi vilevile inazidi kupanuka kote nchini kwa kuwa tunaendelea kuwasajili mafundi wa stima wenye leseni ya kuhudumu. Kampuni hii inatambua umuhimu wa kuwa na washirika wenye maarifa katika masuala yote ya umeme, ambao hutoa siyo tu ushauri muhimu wa kiufundi kwa wateja wetu bali wanaoweza pia kuendesha biashara yenye kuwapa faida. Kufikia sasa, kampuni hii imezindua mpango wa ujasiriamali ambao unawashirikisha wanachama wote wa klabu hii.

Kutoa msaada

Kampuni hii imetambua maeneo ya kutoa ufadhili katika jamii. East African Cables ilinazidi kutoa ufadhili wa kifedha kwa makao ya watoto ya SOS mtaani Buruburu, ambayo tunasimamia. Hatua hii imewapa watoto hao familia wanayoweza kutangamana nayo na kutazamia mbali na kutoa fursa kwa wafanyakazi wetu kutenga muda wao na nguvu zao kwa mafao ya watoto hao.

Vilevile, kampuni hii imedumisha ufadhili wake kwa Shule ya Msingi ya Our Lady of Nazareth katika mtaa wa mabanda wa Mukuru. Hospitali iliyo katika shule hii, iliyo na muuguzi inatoa huduma kwa watoto wapatao 2,500 pamoja na wakazi wa mtaa huo.

Juhudi nyingine zilizofadhiliwa na kampuni hii katika mwaka unaoangaziwa ni kampeni ya Beyond Zero ambayo iliandaliwa na Mkewe Rais na mbio za masafa zilizoandaliwa na benki ya Standard Chartered. Juhudi hizi zinaimarisha hali njema ya kiafya ya jamii yetu kwa kupunguza vifo vya akina mama wakati wa kujifungua, kuwasaidia akina mama walio na matatizo ya uzazi na vipofu katika jamii.

Kampuni hii inathibitisha kujitolea kwake katika kutunza mazingira yake kwa kuwa raia mwenye kuwajibika.



WE ARE THERE...
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Connecting lives

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the consolidated and separate financial statements of East African Cables Limited (group and company) set out on pages 41 to 103 which comprise the consolidated and company statements of financial position as at 31 December 2016, and the consolidated and company statements of profit or loss and other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of East African Cables Limited as at 31 December 2016, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report. We are independent of the group and the company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code) together with the ethical requirements that are relevant to our audit of financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion, and we do not provide a separate opinion on these matters.

Going concern (applicable to the consolidated and separate financial statements)	
See Note 2(f) to the financial statements	
The key audit matter	How the matter was addressed in our audit
The Directors have prepared the financial statements on the basis of accounting applicable to a going concern and have disclosed considerations informing their judgement in Note 2(f). We considered the application of the going concern basis of accounting and the related disclosures in these financial statements to be a key audit matter due to the following:	Our audit procedures in this area included, among others: • evaluation of the Directors' assessment of the group's and the company's going concern for at least the next 12 months from the approval of these financial statements by; • examining the group's and the company's forecast cash flows and understanding the underlying assumptions that the directors have used in preparing these cash flow forecasts;

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED (Continued)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (Continued)

Key audit matters - continued

Going concern – continued	
See Note 2(f) to the consolidated and separate financial statements	
The key audit matter	How the matter was addressed in our audit
- The losses incurred by the group and the company in current and prior year; - The net current liability position of the group and the company as at 31 December 2016; and - The group's and the company's significant short-term loans due to mature in the year to 31 December 2017 and the negotiations with key lenders for restructuring of the debt agreements. Due to the significant judgements made by the Directors in their evaluation of the group's and the company's ability to continue as a going concern, we considered this to be a key audit matter.	- evaluating the reasonableness of these forecasts based on evidence provided to support the underlying assumptions, including inspection of the order book under execution in 2017; - recalculating the forecast compliance with the terms of the bank covenants to which the group and the company are subject, taking account of the relevant terms of the securitised debt structure; - understanding the status of the ongoing debt restructuring negotiations with existing lenders through reading of correspondence between the Directors and the existing lenders; - comparing the actual performance after year end for the first quarter of 2017 to the budget in order to determine the reasonableness of the budget; and - evaluation of the appropriateness of the disclosures made in the financial statements in respect of going concern.
Impairment of trade receivables (applicable to the consolidated and separate financial statements)	
See Note 28(a) to the consolidated and separate financial statements	
The key audit matter	How the matter was addressed in our audit
The group and company have significant amounts of trade receivables outstanding from customers. Trade receivables form approximately 51% of the group's and 45% of the company's current assets respectively. Judgement is involved in assessing the recoverability of trade receivables and in estimating the amount of the impairment allowance for trade receivables. Consequently, we considered this to be a key audit matter.	Our audit procedures in this area included, among others: - evaluating and testing key controls over the granting of credit to customers; - performing a debtor circularisation of a sample of customers to confirm outstanding balances; - inspecting legal files for doubtful debts under litigation and of compliance with payment plans for customers to that had entered into distress arrangements with the group and company to pay outstanding debts; and - evaluating the appropriateness of the assumptions used by management in determining the trade receivables impairment allowance, including recalculation of the aging of debtors and inspecting customer payments after year-end.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED (Continued)

REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS (CONTINUED)

Key audit matters - continued

Recognition of deferred tax assets on unutilised tax losses included in the net deferred tax liability (applicable to the consolidated and separate financial statements)	
See Note 22 to the financial statements	
The key audit matter	How the matter was addressed in our audit
In arriving at the deferred tax liability on the statements of financial position, the group and the company have recognised deferred tax assets relating to unused tax losses (See Note 22 to the financial statements). The recoverability of recognised deferred tax assets is in part dependent on the group's and company's ability to generate future taxable profits sufficient to utilise deductible temporary differences and tax losses before they expire. We determined this to be a key audit matter due to the inherent uncertainty in forecasting the amount and timing of future taxable profits and the reversal of temporary differences and utilisation of tax losses.	Our audit procedures in this area included, among others: - evaluating the group's and the company's cash flow forecasts, as described in the going concern key audit matter above, which have been used by the Directors to support the recognition of the deferred tax asset; - assessing whether the conditions for recognition of deferred tax asset on unutilised tax losses in IAS 12 <i>Income taxes</i> have been met; - determining whether any of the tax losses have expired by understanding the years in which the tax losses arose and the expected expiry dates of those tax losses; - evaluating the adequacy of the financial statement disclosures, including disclosures of key assumptions, judgements and sensitivities.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the *Annual Report and Financial Statements*, but does not include the consolidated and separate financial statements and our auditors' report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard

Responsibilities of Directors for the financial statements

As stated on page 25, the Directors are responsible for the preparation of consolidated and separate financial statements that give a true and fair view in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the Directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the Directors are responsible for assessing the group's and company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the group and/or the company or to cease operations, or have no realistic alternative but to do so.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED (Continued)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (Continued)

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. 'Reasonable assurance' is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, then we are required to draw attention in our auditors' report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the group and/or the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED (Continued)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (Continued)

Auditors' responsibilities for the audit of the financial statements - continued

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

1. we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
2. in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
3. the statement of financial position of the company is in agreement with the books of account.

The Engagement Partner responsible for the audit resulting in this independent auditors' report is CPA Alexander Mbai – P/2172

KPMG Kenya

KPMG Kenya
ABC Towers, 8th Floor,
Waiyaki Way
P.O. Box 40612 - 00100
Nairobi, Kenya

Date: 28 April 2017



**CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2016**

	Note	2016 KShs'000	2015 KShs'000
Revenue	4(a)	3,650,451	3,724,212
Cost of sales	4(c)	(2,846,146)	(3,110,205)
Gross profit		804,305	614,007
Other income	4(b)	7,459	48,520
Factory expenses	4(c)	(339,411)	(231,148)
Administrative expenses	4(c)	(345,209)	(401,778)
Selling and distribution expenses	4(c)	(138,763)	(119,643)
Loss before depreciation, impairment and finance costs		(11,619)	(90,042)
Impairment losses	6(a)	(248,215)	(329,007)
Depreciation and amortisation	6(b)	(271,654)	(230,734)
Results from operating activities		(531,488)	(649,783)
Interest expense	7	(258,851)	(125,027)
Exchange losses	7	(20,010)	(312,194)
Net finance costs	7	(278,861)	(437,221)
Loss before income tax	8	(810,349)	(1,087,004)
Income tax credit	9(a)	227,747	345,800
Loss for the year		(582,602)	(741,204)
Other comprehensive income			
<i>Items that will never be reclassified to profit or loss:</i>			
Revaluation of property, plant and equipment	11	-	683,595
Revaluation of prepaid operating lease	12	-	829,370
Deferred tax on revaluation surplus	22(a)	-	(453,890)
		-	1,059,075
<i>Items that are or may be reclassified to profit or loss:</i>			
Foreign currency translation differences on foreign operations		(10,976)	(133,198)
Total other comprehensive income		(10,976)	925,877
Total comprehensive income for the year		(593,578)	184,673
Loss for the year attributable to:			
Owners of the company		(454,725)	(560,020)
Non-controlling interest		(127,877)	(181,184)
		(582,602)	(741,204)
Total comprehensive income attributable to:			
Owners of the company		(460,213)	170,123
Non-controlling interest		(133,365)	14,550
		(593,578)	184,673
Basic and diluted earnings per share	10	KShs (1.80)	KShs (2.21)

The notes set out on pages 49 to 103 form an integral part of these financial statements.

**COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2016**

	Note	2016 KShs'000	2015 KShs'000
Revenue	4(a)	3,255,984	3,112,175
Cost of sales	4(c)	(2,511,586)	(2,551,262)
Gross profit		744,398	560,913
Other income	4(b)	15,108	48,481
Factory expenses	4(c)	(290,454)	(160,052)
Administrative expenses	4(c)	(269,698)	(302,942)
Selling expenses	4(c)	(98,160)	(92,176)
Profit before depreciation, finance costs and impairment losses		101,194	54,224
Impairment losses	6(a)	(226,651)	(192,112)
Depreciation and amortisation	6(b)	(191,914)	(177,060)
Results from operating activities		(317,371)	(314,948)
Interest expense	7	(180,396)	(122,399)
Exchange losses	7	46,973	(124,709)
Net finance cost	7	(133,423)	(247,108)
Loss before income tax	8	(450,794)	(562,056)
Income tax credit	9(a)	121,653	167,521
Loss for the year		(329,141)	(394,535)
Other comprehensive income			
<i>Items that will never be reclassified to profit or loss</i>			
Revaluation of property, plant & equipment	11	-	(109,441)
Revaluation of prepaid operating lease	12	-	829,370
Deferred tax on revaluation surplus	22(b)	-	(215,979)
		-	503,950
<i>Items that are or may be reclassified to profit or loss</i>			
Foreign currency translation on foreign operations		111	1,798
Total other comprehensive income		111	505,748
Total comprehensive income for the year		(329,030)	111,213

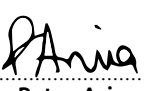
The notes set out on pages 49 to 103 form an integral part of these financial statements.

**CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2016**

ASSETS	Note	2016 KShs'000	2015 KShs'000
Non-current assets			
Property, plant and equipment	11(a)	4,075,424	3,917,310
Prepaid operating lease rentals	12	1,114,631	1,145,610
Investment property	13	115,000	362,252
Intangible assets	15	13,789	13,896
		5,318,844	5,439,068
Current assets			
Inventories	17	519,604	826,565
Trade and other receivables	18	1,353,890	2,013,705
Current tax recoverable	9(c)	65,256	67,092
Cash and cash equivalents	26(b)	45,186	37,713
		1,983,936	2,945,075
Asset held for sale	14	245,626	-
		2,229,562	2,945,075
TOTAL ASSETS		7,548,406	8,384,143
EQUITY AND LIABILITIES			
Capital and reserves (Page 88)			
Issued capital	19(a)	126,563	126,563
Share premium	19(b)	545	545
Revaluation reserve	19(c)	1,712,620	1,712,620
Retained earnings		256,699	711,424
Foreign currency translation reserve	19(d)	(97,475)	(91,987)
Total equity attributable to equity holders of the company		1,998,952	2,459,165
Non-controlling interest	19(e)	557,457	690,822
Total equity		2,556,409	3,149,987
Non-current liabilities			
Bank loans and borrowings	20(a)	632,712	842,772
Shareholders loan	25(e)	415,888	383,631
Liability for staff gratuity	21	27,975	23,141
Deferred tax liability	22(a)	596,298	829,502
		1,672,873	2,079,046
Current liabilities			
Bank overdraft	26(b)	-	126,533
Trade and other payables	23	1,113,450	1,206,201
Current income tax payable	9(c)	15,113	15,213
Short-term portion of bank loan	20(a)	2,160,283	1,774,609
Dividends payable	24	30,278	32,554
		3,319,124	3,155,110
TOTAL EQUITY AND LIABILITIES		7,548,406	8,384,143

The financial statements on pages 41 to 103 were approved by the Board of Directors on 28 April 2017 and were signed on its behalf by:

Chairman: 
Zephaniah Mbugua

Chief Executive Officer: 
Peter Arina

The notes set out on pages 49 to 103 form an integral part of the financial statements.

**COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2016**

ASSETS	Note	2016 KShs'000	2015 KShs'000
Non-current assets			
Property, plant and equipment	11(b)	2,444,014	2,199,911
Prepaid operating lease rentals	12	1,073,227	1,105,000
Investment property	13	115,000	115,000
Intangible assets	15	9,450	13,444
Investment in subsidiary	16	115,037	115,037
		3,756,728	3,548,392
Current assets			
Inventories	17	346,961	655,188
Trade and other receivables	18	1,498,042	1,996,226
Current tax recoverable	9(c)	65,256	67,092
Cash and cash equivalents		29,037	18,151
		1,939,296	2,736,657
TOTAL ASSETS		5,696,024	6,285,049
EQUITY AND LIABILITIES			
Capital and reserves (Page 88)			
Issued capital	19(a)	126,563	126,563
Share premium	19(b)	545	545
Revaluation reserve	19(c)	1,065,942	1,065,942
Retained earnings		356,611	685,641
		1,549,661	1,878,691
Non-current liabilities			
Bank loans and borrowings	20(b)	578,053	842,772
Shareholders loan	25(e)	415,888	383,631
Liability for staff gratuity	21	17,150	14,028
Deferred tax liability	22(b)	391,350	514,873
		1,402,441	1,755,304
Current liabilities			
Bank overdraft		-	109,964
Trade and other payables	23	987,216	1,116,936
Short-term portion of bank loans and borrowings	20(b)	1,726,428	1,391,600
Dividend payable	24	30,278	32,554
		2,743,922	2,651,054
TOTAL EQUITY AND LIABILITIES		5,696,024	6,285,049

The financial statements on pages 41 to 103 were approved by the Board of Directors on 28 April 2017 and were signed on its behalf by:

Chairman: 
Zephaniah Mbugua

Chief Executive Officer: 
Peter Arina

The notes set out on pages 49 to 103 form an integral part of the financial statements.

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2016**

2016:	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2016	126,563	545	1,712,620	711,424	(91,987)	2,459,165	690,822	3,149,987
Comprehensive income for the year	-	-	-	(454,725)	-	(454,725)	(127,877)	(582,602)
Loss for the year	-	-	-	-	-	-	-	-
Other comprehensive income								
Items that are or may be reclassified to profit or loss:								
Foreign currency translation differences on foreign operations	-	-	-	-	(5,488)	(5,488)	(5,488)	(10,976)
Total other comprehensive income	-	-	-	-	(5,488)	(5,488)	(5,488)	(10,976)
Total comprehensive income for the year	-	-	-	(454,725)	(5,488)	(460,213)	(133,365)	(593,578)
Balance at 31 December 2016	126,563	545	1,712,620	256,699	(97,475)	1,998,952	557,457	2,556,409
2015:								
Balance at 1 January 2015	126,563	545	925,556	1,398,007	(35,066)	2,415,605	676,272	3,091,877
Comprehensive income for the year	-	-	-	(560,020)	-	(560,020)	(181,184)	(741,204)
Loss for the year	-	-	-	-	-	-	-	-
Other comprehensive income								
Items that will never be reclassified to profit or loss:								
Revaluation of property, plant and equipment	-	-	295,007	-	-	295,007	388,588	683,595
Revaluation of prepaid operating lease	-	-	829,370	-	-	829,370	-	829,370
Deferred tax on revaluation surplus	-	-	(337,313)	-	-	(337,313)	(116,577)	(453,890)
Items that are or may be reclassified to profit or loss:								
Foreign currency translation differences on foreign operations	-	-	-	-	(56,921)	(56,921)	(76,277)	(133,198)
Total other comprehensive income	-	-	787,064	-	(56,921)	730,143	195,734	925,877
Total comprehensive income for the year	-	-	787,064	(560,020)	(56,921)	170,123	14,550	184,673
Contributions by and distributions to owners								
Dividend - 2014 paid	-	-	-	(126,563)	-	(126,563)	-	(126,563)
Total distribution to owners of the company	-	-	-	(126,563)	-	(126,563)	-	(126,563)
Balance at 31 December 2015	126,563	545	1,712,620	711,424	(91,987)	2,459,165	690,822	3,149,987

The notes set out on pages 49 to 103 form an integral part of these financial statements.

**COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2016**

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Total KShs'000
2016:					
Balance at 1 January 2016	126,563	545	1,065,942	685,641	1,878,691
Comprehensive income for the year					
Loss for the year	-	-	-	(329,141)	(329,141)
Other comprehensive income					
Foreign currency translation differences on foreign operations	-	-	-	111	111
Total other comprehensive income	-	-	-	111	111
Total comprehensive income for the year	-	-	-	(329,030)	(329,030)
Balance at 31 December 2016	126,563	545	1,065,942	356,611	1,549,661
2015:					
Balance at 1 January 2015	126,563	545	561,992	1,204,942	1,894,042
Comprehensive income for the year					
Loss for the year	-	-	-	(394,536)	(394,536)
Other comprehensive income					
Revaluation of property, plant and equipment	-	-	(109,441)	-	(109,441)
Revaluation of prepaid operating lease	-	-	829,370	-	829,370
Deferred tax on revaluation surplus	-	-	(215,979)	-	(215,979)
Foreign currency translation differences on foreign operations	-	-	-	1,798	1,798
Total other comprehensive income	-	-	503,950	1,798	505,748
Total comprehensive income for the year	-	-	503,950	(392,738)	111,212
Contributions by and distributions to owners					
Dividend – 2014 paid	-	-	-	(126,563)	(126,563)
Total distribution to owners of the company				(126,563)	(126,563)
Balance at 31 December 2015	126,563	545	1,065,942	685,641	1,878,691

The notes set out on pages 49 to 103 form an integral part of these financial statements.

**CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2016**

	Note	2016 KShs'000	2015 KShs'000
Cash generated from operations	26(a)	597,063	146,943
Income taxes paid	9(c)	(34)	(2,315)
Cash generated from operating activities		597,029	144,628
Cash flows from investing activities			
Purchase of property, plant and equipment	11(a)	(403,384)	(199,478)
Purchase of intangible assets	15	(6,383)	(2,734)
Net cash used in investing activities		(409,767)	(202,212)
Cash flows from financing activities			
Bank loans and borrowings received	20(c)	2,570,446	4,105,178
Repayment of bank loans and borrowings	20(c)	(2,397,349)	(3,518,131)
Shareholders loan repaid	25(e)	-	(9,400)
Exchange gain on shareholders/bank loans		3,089	41,338
Accrued interest of on shareholders loans	25(e)	31,685	25,541
Interest paid		(258,851)	(125,027)
Dividends paid	24	(2,276)	(257,909)
Net cash used in financing activities		(53,256)	261,590
Net increase/(decrease) in cash and cash equivalents		134,006	204,006
Cash and cash equivalents at 1 January		(88,820)	(292,826)
Cash and cash equivalents at 31 December	26(b)	45,186	(88,820)

The notes set out on pages 49 to 103 form an integral part of these financial statements.

**COMPANY STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2016**

	Note	2016 KShs'000	2015 KShs'000
Cash generated from operations	26(a)	601,440	202,080
Income taxes paid	9(c)	(34)	-
Cash generated from operating activities		601,406	202,080
Cash flows from investing activities			
Purchase of property, plant and equipment	11(b)	(399,269)	(187,182)
Purchase of intangible assets	15	(981)	(2,734)
Net cash used in investing activities		(400,250)	(189,916)
Cash flows from financing activities			
Bank loans and borrowings received	20(b)	2,496,842	3,318,435
Repayment of bank loans and borrowings	20(b)	(2,426,835)	(2,815,049)
Shareholders loan repaid	25(e)	-	(9,400)
Exchange gain on shareholders/bank loans		674	41,338
Accrued interest of on shareholders loans	25(e)	31,685	25,541
Interest paid		(180,396)	(122,399)
Dividends paid	24	(2,276)	(257,909)
Net cash used in financing activities		(80,306)	180,557
Net increase/(decrease) in cash and cash equivalents		120,850	192,721
Cash and cash equivalents at 1 January		(91,813)	(284,534)
Cash and cash equivalents at 31 December	26(b)	29,037	(91,813)

The notes set out on pages 49 to 103 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016

1. REPORTING ENTITY

East African Cables Limited ("the Company") is a limited liability company incorporated in Kenya under the Kenyan Companies Act, 2015 and is domiciled in Kenya. The consolidated financial statements as at and for the year ended 31 December 2016 comprise the company and its subsidiaries (together referred to as the "Group"). The Group is primarily involved in the manufacture and sale of electrical cables and conductors.

The address of its registered office and principal place of business is as follows:

East African Cables Limited
Industrial Area
Addis Ababa Road
PO Box 18243 - 00500
Nairobi

2. BASIS OF PREPARATION

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) and the Kenyan Companies Act, 2015.

For Kenyan Companies Act, 2015 reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss and other comprehensive income.

(b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis as modified by revaluation of certain items of property, plant and equipment, and investment property which is measured at fair value.

(c) Functional and presentation currency

These consolidated financial statements are presented in Kenya shillings (KShs), which is the Company's functional and presentation currency. All financial information presented has been rounded to the nearest thousand ("KShs'000") except where otherwise indicated.

(d) Use of judgements and estimates

The preparation of financial statements in conformity with IFRSs requires management to make judgement, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reported period. The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying values of assets and liabilities are not readily apparent from other sources. Actual results may differ from these estimates.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

2. BASIS OF PREPARATION (Continued)

(d) Use of judgements and estimates (continued)

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Specifically, critical judgements, assumptions and estimation uncertainties are required in the following;

(i) Consolidation

Judgement is required on whether the group has defacto control over an investee (Note 3(b)(i)). Judgement is also made during acquisition of subsidiaries where fair value is measured on a provisional basis.

(ii) Lease classification

Judgement is required in assessing classification of leases into either finance or operating leases, and in reviewing whether arrangements contain a lease (Note 3(f)).

(iii) Employee benefits

Certain assumptions are made when estimating employee benefit liabilities under gratuity schemes (Note 3(h)).

(iv) Taxation

Recognition of deferred tax assets requires assessment of future taxable profits against which carry forward tax losses can be used (Note 3(i)).

(v) Impairment tests

Key assumptions underlying recoverable amounts are made in determining carrying amounts of goodwill, receivables, investments in subsidiaries, tangible and intangible assets, investment properties etc, especially where indicators of impairment exist (Note 3(m)).

(vi) Recognition and measurement of contingencies

Key assumptions are made about the likelihood and magnitude of an outflow of resources

(e) Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Group has an established framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the Group finance manager.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

2. BASIS OF PREPARATION (Continued)

(e) Measurement of fair values (continued)

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations met the requirements of IFRS, including the level in the fair value hierarchy in which such valuations should be classified.

Significant valuation issues are reported to the Group's Audit Committee.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

Note 11 – Property, plant and equipment

Note 12 – Prepaid operating lease rentals

Note 13 – Investment property

Note 28 – Financial instruments

(f) Going concern

The Group incurred a loss of KShs 583 million during the year ended 31 December 2016 (2015 – KShs 741 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 1.09 billion (2015 – KShs 210 million). The losses recorded in the last two financial years were attributed to interruptions made during re-construction of the copper factory, additional machinery installations, machinery re-alignments and commissioning. The long process of machine installations, commissioning, process re-alignments and operator trainings involved in the just completed capital expenditure program resulted in depressed copper volumes in the last two years. This prolonged interruption of production schedules also affected working capital performance of the group as orders and sales could not be realised with limited supply of products. Various initiatives have been put in place to ensure that the business meets its obligations as and when they fall due. These initiatives include:-

(i) Expanded installed capacity:

The business has completed factory upgrade and modernisation program resulting in triple throughput capacity. This has provided economies of scale in production, shorter conversion cycles and efficiency improvement. This increased capacity has strategically positioned the business to exploit the opportunities emerging in the region.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

(ii) Creating strong linkages with construction industry players:

Regionally, construction industry continue to expand with Kenya recording a growth of 9.2% in 2016. The regional governments have also commissioned aggressive power infrastructure programmes to increase electrification access and to power upcoming mega projects. This will continue to create demand for our products and the business has set up route-to-market channels to build relationships with the key stakeholders in this sector. On the utilities front, the regional governments have enacted laws requiring support for local manufacturers, which in turn increases demand for our products. Arising from the expanded capacity, price competitiveness, and in line with the new procurement rules, the Group has won tenders worth KShs 4.2 billion (Company – KShs 2.8 billion, Tanzania subsidiary – KShs 1.4 billion) from the regional utility companies.

(iii) Enhanced terms for key material suppliers:

The business has negotiated enhanced credit facilities for key raw materials. This initiative allows the business adequate time to procure raw materials, convert to finished goods, sell and collect the receivables, eventually reducing dependency on bank borrowings.

(iv) Stringent working capital management:

The Group has put measures to optimise its working capital by revising its customer credit policy, adopting a just-in-time inventory system and overall cost management. These initiatives have resulted to reduction in the overall cash conversion cycle. On receivables, the Group has revised its trading terms to cash or near cash thereby reducing its average collection period and has also taken severe measures to recover delinquent debts. The Group has obtained favourable court decrees to recover a total of KShs 372 million from defaulting customers and recovery efforts are in place. On inventory, market demand has been synchronised to procurement to ensure lean inventory holding. As a result of these initiatives, the business released KShs 955 million from inventory and receivables to working capital during the year. (Refer to note 26 (a) on Statement of cash flows).

(v) Disposal of non-operating assets:

As indicated in the Consolidated Statement of Financial Position on Page 11 and Note 14 (Asset held for sale), our Tanzania Subsidiary has offered for sale a residential property located in Dar es salaam. The sale is expected to be concluded in 2017 and the property is estimated to realise KShs 245 million.

vi) Restructure of loan facilities:

The Group is reviewing its banking relationships with a view to restructuring the current short-term debt into long-term loans. The Group continues to seek improved credit facilities that meet its operating requirements and reduce interest costs including refinancing current facilities and enhancements to meet increased working capital requirements.

The directors having taken into account the initiatives above and information at hand and are confident that the going concern assumption is appropriate in the preparation of these Group financial statements. The financial statements have therefore been prepared on the basis of accounting policies applicable to a going concern. This basis presumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities will occur in the ordinary course of business.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements:

(a) Revenue recognition

(i) Sale of goods

Revenue from the sale of goods is measured at the fair value of the consideration receivable, net of value added taxes, returns, trade discounts and volume rebates. Revenue is recognised when the significant risk and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, there is no continuing management involvement with the goods, and the amount of revenue can be measured reliably.

Transfers of risks and rewards vary depending on the individual terms of the contract of sale, which in most cases occurs on delivery of products.

(ii) Rental income

Rental income on the investment property is recognised in profit or loss on a straight line basis over the term of the lease. Rental income is presented in other income.

(b) Consolidation principles

(i) Subsidiaries

The consolidated financial statements include the Company (which also includes a branch in Uganda) and its subsidiaries, East African Cables (Tanzania) Company Limited in which the Group holds 51% of the voting rights and Yana Trading Company Limited in which the company holds 100% voting rights (refer to Note 16).

Subsidiaries are entities controlled by the Company. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date on which control ceases.

In the company financial statements the investment in subsidiary is carried at cost and assessed for impairment at each reporting date (Note 19(e)).

Non-controlling interests (NCI) are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

(ii) Transactions eliminated on consolidation

All intra-group balances and any unrealised gains and losses or income and expenses arising from intra-group balances, are eliminated in preparing consolidated financial statements.

(iii) Business combinations

All business combinations are accounted for by applying the acquisition method. Goodwill represents the difference between the cost of acquisition and the fair value of the net identifiable assets acquired.

A gain arising on a bargain acquisition is recognised directly in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(c) Foreign currencies

(i) Foreign currency transactions

Transactions in foreign currencies during the year are converted into Kenya Shillings at the exchange rate ruling at the date of the transaction. Foreign currency monetary assets and liabilities are translated at the exchange rate ruling at the reporting date. Resulting exchange differences are recognised in profit or loss.

Non-monetary assets and liabilities that are measured based on historical cost denominated in foreign currency are translated at the exchange rate ruling at the date of transaction.

(ii) Foreign operations

The assets and liabilities of foreign operations (which includes subsidiaries and branches), including fair value adjustments arising on consolidation, are translated to Kenya Shillings at foreign exchange rates ruling at the reporting date. The revenues and expenses of foreign operations are translated to Kenya Shillings at rates approximating the foreign exchange rates ruling at the dates of transaction. Foreign exchange differences arising on translation are recognised in other comprehensive income and accumulated as a separate component of equity (foreign currency translation reserve) until the disposal of the foreign operation.

(d) Property, plant and equipment

(i) Recognition and measurement

Items of property, plant and equipment are measured at cost or at the revalued amount (as appropriate) less accumulated depreciation and impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset. When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment. External revaluations for the group's buildings, plant and machinery are obtained after every three years. Surpluses arising from the valuations are recognised in other comprehensive income and accumulated in revaluation reserves in equity.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment and is recognised net within profit or loss and presented within other income/expense.

When revalued assets are sold, any related amount included in the revaluation reserve is transferred to retained earnings.

(ii) Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(d) Property, plant and equipment (continued)

(i) Depreciation

Depreciation is based on the cost of an asset less its residual value. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are as follows:

Leasehold buildings	Over the shorter of the lease period and the asset's useful life
Plant and machinery	5% - 12.5%
Computers	33.3%
Motor vehicles	25%
Furniture, fittings and equipment	12.5% - 33.3%

Construction work-in-progress is not depreciated.

The assets' residual values, useful lives and depreciation methods are reviewed and adjusted as appropriate at each reporting date.

(ii) Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property and re-measured to fair value. Any gain arising on re-measurement is recognised in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in equity. Any loss is recognised immediately in profit or loss.

(e) Investment properties

Investment property is property held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in production or supply of goods and services or for administrative purposes.

Any gain or loss on disposal of an investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of an item) is recognised in profit or loss. When an investment property that was previously classified as property, plant and equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

Investment properties are measured at fair value. External valuations are obtained on such a basis as to ensure that substantially all properties are valued once every three years. In the event of a material change in market conditions between the valuation date and the reporting date an internal valuation is performed and adjustments made to reflect any material changes in value.

Surpluses and deficits arising from changes in fair value are recognised in profit or loss for the year.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(f) Leases

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor, are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Upon initial recognition the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Investment property held under an operating lease is recognised in the Group's statement of financial position at its fair value. Proceeds under these leases are recognised in the profit or loss.

(g) Inventories

Work in progress and manufactured finished goods are valued at production cost including direct costs (cost of materials and labour), an appropriate proportion of production overheads and factory depreciation and other costs incurred in bringing the inventories to their present location and condition. The cost of stocks is based on the weighted average principle.

If the purchase or production cost is higher than net realisable value, inventories are written down to net realisable value. Purchase cost relates to the purchase of raw materials. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(h) Employee benefits

(i) Defined contribution plan

Non-unionisable employees of the Group are eligible for retirement benefits under a defined contribution plan provided through a separate fund arrangement.

Contributions to the defined contribution plan are recognised in profit or loss as incurred. The Group has no further obligation once the contributions have been paid.

(ii) Staff gratuity

Unionisable employees of the company are eligible to a gratuity upon retirement based on 16 days pay if an employee has served 1-5 years, 20 days pay if an employee has served 6-10 years and 23 days pay if an employee has served 11 years and above. The calculation of gratuity liability is performed annually by a qualified actuary.

Unionisable employees of East African Cables (Tanzania) Limited are eligible to a gratuity upon retirement based on two months' salary for each complete year of service at current salary; the employee's age must also exceed 49 years at the time of retirement. A liability is recognised in the financial statements for estimated amount of such gratuity payable. Gratuity is computed at current salary. Movements in the liability are recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(h) Employee benefits (continued)

(i) Leave accrual

The monetary value of the unutilised leave by staff as at year end is carried in the accruals as a payable and the movement in the year is recognised in profit or loss.

(ii) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(i) Taxation

Income tax comprises current tax and change in deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in other comprehensive income or directly in equity, in which case it is recognised in other comprehensive income or in equity respectively.

Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future. In addition, deferred tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously. A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(j) Related party transactions

The group discloses the nature, volume and terms and conditions of amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the directors, executive officers and group or related companies.

(k) Dividends

Dividends are recognised as a liability in the period in which they are declared. Withholding tax is withheld for all cases where the percentage of ownership is less than 12.5%.

Proposed dividends are disclosed on Note 19(f).

(l) Financial instruments

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another entity. The Group initially recognises loans and receivables on the date that they are originated and financial liabilities on the date that they are originated.

Management determines the appropriate classification of its financial instruments at the time of purchase and re-evaluates its portfolio every reporting date to ensure that all financial instruments are appropriately classified. The re-classification of financial assets is only permitted in certain instances.

The Group's financial instruments are classified as loans and receivables and financial liabilities at amortised cost.

Financial instruments that are not measured at fair value through profit or loss, are measured initially at cost, including transaction costs.

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses.

Loans and receivables comprise trade and other receivables and cash and cash equivalents.

Financial liabilities are initially measured at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these are measured at amortised cost using the effective interest method. These financial liabilities comprise of loans and borrowings, trade and other payables and bank overdrafts.

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

A financial asset is derecognised when the contractual rights from the financial asset expire or it transfers the rights to receive the contractual cash flows on the financial asset transferred. A financial liability is derecognised when its contractual obligations are discharged, cancelled or expire.

Financial assets and liabilities are offset and the net amount reported on the statement of financial position when there is a legally enforceable right to offset the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
3. SIGNIFICANT ACCOUNTING POLICIES (Continued)
(l) Financial instruments (continued)
(i) Accounting classifications and fair values for financial assets and liabilities

The table below sets out the carrying amounts of each class of financial assets and liabilities, and their fair values:

31 December 2016:	Loans and receivables KShs'000	Other liabilities KShs'000	Total carrying amount KShs'000	Fair value KShs'000
Assets				
Trade receivables	1,152,175	-	1,152,175	1,152,175
Cash and bank balances	45,186	-	45,186	45,186
Total assets	1,197,361	-	1,197,361	1,197,361
Liabilities				
Bank overdraft	-	-	-	-
Bank loans and borrowings	-	2,792,995	2,792,995	2,792,995
Trade payables	-	870,574	870,574	870,574
Total liabilities	-	3,663,569	3,663,569	3,663,569
31 December 2015:	Loans and receivables KShs'000	Other liabilities KShs'000	Total carrying amount KShs'000	Fair value KShs'000
Assets				
Trade receivables	1,636,273	-	1,636,273	1,636,273
Cash and bank balances	37,713	-	37,713	37,713
Total assets	1,673,986	-	1,673,986	1,673,986
Liabilities				
Bank overdraft	-	126,533	126,533	126,533
Bank loans and borrowings	-	2,617,381	2,617,381	2,617,381
Trade payables	-	963,888	963,888	963,888
Total liabilities	-	3,707,802	3,707,802	3,707,802

The fair values for financial instruments such as trade receivables, cash and bank balances, and trade payables carrying amounts are a reasonable approximation of fair values.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(i) Valuation hierarchy

The fair value of Property, plant and equipment, Prepaid operating leases and Investment property was determined by external, independent property valuers in 2015, having appropriate recognized professional qualifications and experience in the location and category of the property being valued.

The table below shows the classification of investment property held at fair value into the valuation hierarchy set out below as at 31 December 2016 and 31 December 2015:

	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2016:				
Property, plant and equipment (Note 11)	-	4,075,424	-	4,075,424
Prepaid operating leases (Note 12)	-	1,114,631	-	1,114,631
Investment property (Note 13)	-	115,000	-	115,000
Total	-	5,305,055	-	5,305,055
31 December 2015:				
Property, plant and equipment (Note 11)	-	3,917,310	-	3,917,310
Prepaid operating leases (Note 12)	-	1,145,610	-	1,145,610
Investment property (Note 13)	-	362,252	-	362,252
Total	-	5,425,172	-	5,425,172

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(i) Financial instruments (continued)

(iii) Valuation techniques and significant unobservable inputs

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Investment Property	This is residential property that has been leased to third parties. The property is leased on renewable annual leases. The investment properties are stated at fair value, which has been determined based on valuation by Lloyd Masika an accredited independent valuer as at 31st December 2015. Lloyd Masika is an industry specialist in valuing these types of investment properties. The fair value of the properties has not been determined on transactions observable in the market because of the nature of the properties and lack of comparable data. Instead valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied.	The property owned by East African cables Kenya is located in the Lavington area approximately 15kms from Nairobi City Centre.	The rent charged is high due to the location and the market value of the property is bound to go up due to the prime location.
Property, plant and equipment	The resulting fair value change is dealt with through profit or loss. Items of property, plant and equipment are stated at fair value, which has been determined based on valuation by Lloyd Masika an accredited independent valuer as at 31st December 2015. Lloyd Masika is an industry specialist in valuing these types of investment properties. The fair value of the properties has not been determined on transactions observable in the market because of the nature of the property and lack of comparable data. Instead valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied. The resulting fair value change is dealt through other comprehensive income.	The factory buildings are located in prime locations within the industrial area. Machinery is anchored in the factory buildings and is specialized in cable manufacturing only. Other items of property, plant and equipment like motor vehicles, furniture and fittings is moveable in nature and is used to facilitate manufacture and sale of electrical cables and conductors.	The location of the factories is within the manufacturing zone. Close proximity to central business district, retail market, key customers and key service providers.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(iii) Valuation techniques and significant unobservable inputs (continued)

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Prepaid operating leases	Items of prepaid operating leases relate to leasehold land upon which the manufacturing plants are set up. These assets are stated at fair value, based on valuation by Lloyd Masika an accredited independent valuer on 31st December 2015. Lloyd Masika is an Industry specialist in valuing these types of investment properties. The fair value of the prepaid operating leases has been determined on the basis of comparable transaction in the market. Additionally, valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied.	The leasehold land in Kenya and Tanzania are located in prime locations within the industrial area with close proximity to all amenities.	The land on which the factories stand, is of high value due its prime location. The value is comparable to other land in the neighborhood.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(m) Impairment

(i) Financial assets

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset, and that the loss event has an impact on the future cash flows on the asset than can be estimated reliably.

Objective evidence that financial assets are impaired can include default or delinquency by a debtor, restructuring of an amount due to the Group on terms that the Group would not consider otherwise, indications that a debtor or issuer will enter bankruptcy, adverse changes in the payment status of borrowers or issuers in the Group, economic conditions that correlate with defaults or the disappearance of an active market for a security.

The Group considers evidence of impairment for loans and receivables at a both a specific asset and collective level. All individually significant receivables are assessed for specific impairment. All individually significant loans and receivables found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Loans and receivables that are not individually significant are collectively assessed for impairment by grouping together loans and receivables with similar risk characteristics.

In assessing collective impairment the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against loans and receivables.

When a subsequent event (e.g. repayment by a debtor) causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

(ii) Non financial assets

The carrying amounts of the Group's non-financial assets, other than investment properties, inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first reduce the carrying amount of any goodwill allocated to the cash generating unit and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(m) Impairment (continued)

(ii) Non financial assets (continued)

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Impairment losses in respect of goodwill are not reversed.

(n) Assets held for sale

Non-current assets or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale or distribution than through continuing use are classified as held for sale or distribution. Immediately before classification as held for sale or distribution the assets or components of a disposal group are measured in accordance with the Group's accounting policies. Thereafter generally the assets or disposal group are measured at the lower of their carrying amount and fair value less costs to sell. Any impairment loss on a disposal group is allocated first to goodwill and then to the remaining assets and liabilities on a pro rata basis.

Impairment losses on initial classification as held for sale or distribution and subsequent gains and losses on re-measurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss.

Once classified as held for sale or distribution, assets are no longer amortised or depreciated, and any equity-accounted investee is no longer equity accounted.

(o) Intangible assets

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software and are measured at cost less accumulated amortisation and accumulated impairment losses.

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognised in profit or loss as incurred.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(o) Intangible assets (continued)

Amortisation is based on the cost of an asset less its residual value. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives (3 years) of intangible assets.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

(p) Provisions

A provision is recognised in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(q) Finance income and expenses

Finance income and expenses comprise interest expense on borrowings and foreign currency losses. Borrowing costs, not relating to qualifying assets, are recognised in profit or loss using the effective interest rate.

Foreign exchange gains and losses are reported on a gross basis.

(r) Segmental reporting

The Group determines and presents operating segments based on the information that internally is provided to the Group Chief Executive Officer (CEO), who is the Group's chief operating decision maker.

The Group has three reportable segments which are the Group's geographic locations.

The geographic locations offer similar products to different markets and are managed separately because they require different marketing strategies.

The CEO reviews the internal management reports on each of the segments on a monthly basis. The performance of each segment is measured on segment profit as included in the management report. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of the businesses.

Specific segmental information is disclosed in Note 32.

(s) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(t) Comparative information

Where necessary, comparative figures have been represented to conform with changes in presentation in the current year.

(u) New standards and interpretations adopted

(i) New standards, amendments and interpretations effective and adopted during the year

The Group has adopted the following new standards and amendments during the year ended 31 December 2016, including consequential amendments to other standards with the date of initial application by the Group being 1 January 2016.

The nature and effects of the changes are explained below:

New standard or amendments
– Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)
– Accounting for Acquisitions of Interests in Joint Operations (Amendments to IFRS 11)
– Amendments to IAS 16 and IAS 38 – Clarification of Acceptable Methods of Depreciations and Amortisation
– Amendments to IAS 41 - Bearer Plants (Amendments to IAS 16 and IAS 41)
– Equity Method in Separate Financial Statements (Amendments to IAS 27)
– IFRS 14 Regulatory Deferral Accounts
– Investment Entities: Applying the Consolidation Exception (Amendments to IFRS 10, IFRS 12 and IAS 28)
– Disclosure Initiative (Amendments to IAS 1)

Accounting for Acquisitions of Interests in Joint Operations (Amendments to IFRS 11)

The amendments require business combination accounting to be applied to acquisitions of interests in a joint operation that constitutes a business. Business combination accounting also applies to the acquisition of additional interests in a joint operation while the joint operator retains joint control. The additional interest acquired will be measured at fair value. The previously held interest in the joint operation will not be re-measured. The amendments apply prospectively for annual periods beginning on or after 1 January 2016.

The adoption of these changes did not have a significant impact on the financial statements of the Group and Company.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(i) New standards, amendments and interpretations effective and adopted during the year - continued

Amendments to IAS 41- Bearer Plants (Amendments to IAS 16 and IAS 41)

The amendments to IAS 16 Property, Plant and Equipment and IAS 41 Agriculture require a bearer plant (which is a living plant used solely to grow produce over several periods) to be accounted for as property, plant and equipment in accordance with IAS 16 Property, Plant and Equipment instead of IAS 41 Agriculture. The produce growing on bearer plants will remain within the scope of IAS 41. The new requirements are effective from 1 January 2016.

The Group does not have any bearer plants. Consequently the adoption of these changes did not have a significant impact its financial statements.

Clarification of Acceptable Methods of Depreciation and Amortisation (Amendments to IAS 16 and IAS 38)

The amendments to IAS 16 Property, Plant and Equipment explicitly state that revenue-based methods of depreciation cannot be used for property, plant and equipment.

The amendments to IAS 38 Intangible Assets introduce a rebuttable presumption that the use of revenue-based amortisation methods for intangible assets is inappropriate.

The presumption can be overcome only when revenue and the consumption of the economic benefits of the intangible asset are 'highly correlated', or when the intangible asset is expressed as a measure of revenue. The amendments apply prospectively for annual periods beginning on or after 1 January 2016.

The adoption of these changes did not affect the amounts and disclosures of the Group's property, plant and equipment and intangible assets.

Equity Method in Separate Financial Statements (Amendments to IAS 27)

The amendments allow the use of the equity method in separate financial statements, and apply to the accounting not only for associates and joint ventures but also for subsidiaries. The amendments apply retrospectively for annual periods beginning on or after 1 January 2016.

The adoption of these changes did not have a significant impact on the financial statements of the Group.

IFRS 14 Regulatory Deferral Accounts

IFRS 14 provides guidance on accounting for regulatory deferral account balances by first-time adopters of IFRS. To apply this standard, the entity has to be rate-regulated i.e. the establishment of prices that can be charged to its customers for goods and services is subject to oversight and/or approval by an authorised body.

The standard is effective for financial reporting years beginning on or after 1 January 2016.

The adoption of these changes did not have a significant impact on the financial statements of the Group given that it is not a first time adopter of IFRS.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(i) New standards, amendments and interpretations effective and adopted during the year - continued

Investment Entities: Applying the Consolidation Exception (Amendments to IFRS 10, IFRS 12 and IAS 28)

The amendment to IFRS 10 *Consolidated Financial Statements* clarifies which subsidiaries of an investment entity are consolidated instead of being measured at fair value through profit and loss. The amendment also modifies the condition in the general consolidation exemption that requires an entity's parent or ultimate parent to prepare consolidated financial statements. The amendment clarifies that this condition is also met where the ultimate parent or any intermediary parent of a parent entity measures subsidiaries at fair value through profit or loss in accordance with IFRS 10 and not only where the ultimate parent or intermediate parent consolidates its subsidiaries.

The amendment to IFRS 12 *Disclosure of Interests in Other Entities* requires an entity that prepares financial statements in which all its subsidiaries are measured at fair value through profit or loss in accordance with IFRS 10 to make disclosures required by IFRS 12 relating to investment entities.

The amendment to IAS 28 *Investments in Associates and Joint Ventures* modifies the conditions where an entity need not apply the equity method to its investments in associates or joint ventures to align these to the amended IFRS 10 conditions for not presenting consolidated financial statements.

The amendments introduce relief when applying the equity method which permits a non-investment entity investor in an associate or joint venture that is an investment entity to retain the fair value through profit or loss measurement applied by the associate or joint venture to its subsidiaries.

The amendments apply retrospectively for annual periods beginning on or after 1 January 2016. The adoption of these changes did not have a significant impact on the amounts and disclosures of the Group's interests in other entities.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(i) New standards, amendments and interpretations effective and adopted during the year - continued

Disclosure Initiative (Amendments to IAS 1)

The amendments provide additional guidance on the application of materiality and aggregation when preparing financial statements. The amendments apply for annual periods beginning on or after 1 January 2016 and early application is permitted. The adoption of these changes did not affect the amounts and disclosures of the Group's interests in other entities.

Annual improvements cycle (2012-2014) – various standards

Standard	Amendments
IFRS 5 Non-current Assets Held for Sale and Discontinued Operations	Changes in methods of disposal. Adds specific guidance in IFRS 5 for cases in which an entity reclassifies an asset from held for sale to held for distribution or vice versa and cases in which held-for-distribution accounting is discontinued.
IFRS 7 Financial Instruments: Disclosures (with consequential amendments to IFRS 1)	Servicing contracts. Adds additional guidance to clarify whether a servicing contract is continuing involvement in a transferred asset for the purpose of determining the disclosures required. Applicability of the amendments to IFRS 7 to condensed interim financial statements. Clarifies the applicability of the amendments to IFRS 7 on offsetting disclosures to condensed interim financial statements.
IAS 19 Employee Benefits	Discount rate: regional market issue. Clarifies that the high quality corporate bonds used in estimating the discount rate for post-employment benefits should be denominated in the same currency as the benefits to be paid (thus, the depth of the market for high quality corporate bonds should be assessed at currency level).
IAS 34 Interim Financial Reporting	Disclosure of information 'elsewhere in the interim financial report'. Clarifies the meaning of 'elsewhere in the interim report' and requires a cross-reference

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(i) New standards, amendments and interpretations effective and adopted during the year - continued

Annual improvements cycle (2012-2014) – various standards – continued

The adoption of these changes did not have a significant impact on the financial statements of the Group.

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2016, and have not been applied in preparing these financial statements.

The Group does not plan to adopt these standards early. These are summarised below;

New standard or amendments	Effective for annual periods beginning on or after
– Disclosure Initiative (Amendments to IAS 7)	1 January 2017
– Recognition of Deferred Tax Assets for Unrealised Losses (Amendments to IAS 12)	1 January 2017
– IFRS 15 Revenue from Contracts with Customers	1 January 2018
– IFRS 9 Financial Instruments (2014)	1 January 2018
– Classification and Measurement of Share-based – Payment Transactions (Amendments to IFRS 2)	1 January 2018
– Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4)	1 January 2018
– IFRS 16 Leases	1 January 2019
– Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28).	To be determined

Disclosure Initiative (Amendments to IAS 7)

The amendments in Disclosure Initiative (Amendments to IAS 7) come with the objective that entities shall provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities.

The International Accounting Standards Board (IASB) requires that the following changes in liabilities arising from financing activities are disclosed (to the extent necessary): (i) changes from financing cash flows; (ii) changes arising from obtaining or losing control of subsidiaries or other businesses; (iii) the effect of changes in foreign exchange rates; (iv) changes in fair values; and (v) other changes.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016 - continued

Disclosure Initiative (Amendments to IAS 7) – continued

The IASB defines liabilities arising from financing activities as liabilities “for which cash flows were, or future cash flows will be, classified in the statement of cash flows as cash flows from financing activities”. It also stresses that the new disclosure requirements also relate to changes in financial assets if they meet the same definition.

The amendments state that one way to fulfil the new disclosure requirement is to provide a reconciliation between the opening and closing balances in the statement of financial position for liabilities arising from financing activities.

Finally, the amendments state that changes in liabilities arising from financing activities must be disclosed separately from changes in other assets and liabilities.

The amendments are effective for annual periods beginning on or after 1 January 2017, with early application permitted. Since the amendments are being issued less than one year before the effective date, entities need not provide comparative information when they first apply the amendments.

The Group is assessing the potential impact on the financial statements resulting from the application of IAS 7.

Recognition of Deferred Tax Assets for Unrealised Losses (Amendments to IAS 12)

The amendments in Recognition of Deferred Tax Assets for Unrealised Losses clarify the following aspects:

- Unrealised losses on debt instruments measured at fair value and measured at cost for tax purposes give rise to a deductible temporary difference regardless of whether the debt instrument’s holder expects to recover the carrying amount of the debt instrument by sale or by use.
- The carrying amount of an asset does not limit the estimation of probable future taxable profits.
- Estimates for future taxable profits exclude tax deductions resulting from the reversal of deductible temporary differences.
- An entity assesses a deferred tax asset in combination with other deferred tax assets. Where tax law restricts the utilisation of tax losses, an entity would assess a deferred tax asset in combination with other deferred tax assets of the same type.

The amendments are effective for annual periods beginning on or after 1 January 2017 with early application permitted. As transition relief, an entity may recognise the change in the opening equity of the earliest comparative period in opening retained earnings on initial application without allocating the change between opening retained earnings and other components of equity. The Board has not added additional transition relief for first-time adopters.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016 - continued

Recognition of Deferred Tax Assets for Unrealised Losses (Amendments to IAS 12) - continued

The adoption of these changes is not expected to affect the amounts and disclosures of the Group's financial statements.

IFRS 15 Revenue from Contracts with Customers

This standard replaces IAS 11 Construction Contracts, IAS 18 Revenue, IFRIC 13 Customer Loyalty Programmes, IFRIC 15 Agreements for the Construction of Real Estate, IFRIC 18 Transfer of Assets from Customers and SIC-31 Revenue – Barter of Transactions Involving Advertising Services.

The standard contains a single model that applies to contracts with customers and two approaches to recognising revenue: at a point in time or over time. The standard specifies how and when an IFRS reporter will recognise revenue as well as requiring such entities to provide users of financial statements with more informative, relevant disclosures.

The standard provides a single, principles based five-step model to be applied to all contracts with customers in recognising revenue being: Identify the contract(s) with a customer; identify the performance obligations in the contract; determine the transaction price; Allocate the transaction price to the performance obligations in the contract; and recognise revenue when (or as) the entity satisfies a performance obligation.

IFRS 15 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

The Group is assessing the potential impact on the financial statements resulting from the application of IFRS 15.

IFRS 9: Financial Instruments (2014)

On 24 July 2014 the IASB issued the final IFRS 9 Financial Instruments Standard, which replaces earlier versions of IFRS 9 and completes the IASB's project to replace **IAS 39 Financial Instruments: Recognition and Measurement**.

This standard introduces changes in the measurement bases of the financial assets to amortised cost, fair value through other comprehensive income or fair value through profit or loss. Even though these measurement categories are similar to IAS 39, the criteria for classification into these categories are significantly different. In addition, the IFRS 9 impairment model has been changed from an "incurred loss" model from IAS 39 to an "expected credit loss" model.

The standard is effective for annual period beginning on or after 1 January 2018 with retrospective application, early adoption permitted.

The Group is assessing the potential impact on the financial statements resulting from the application of IFRS 9.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016 - continued

Classification and Measurement of Share-based Payment Transactions (Amendments to IFRS 2)

The following clarifications and amendments are contained in the pronouncement:

– *Accounting for cash-settled share-based payment transactions that include a performance condition*

Up until this point, IFRS 2 contained no guidance on how vesting conditions affect the fair value of liabilities for cash-settled share-based payments. IASB has now added guidance that introduces accounting requirements for cash-settled share-based payments that follows the same approach as used for equity-settled share-based payments.

– *Classification of share-based payment transactions with net settlement features*

IASB has introduced an exception into IFRS 2 so that a share-based payment where the entity settles the share-based payment arrangement net is classified as equity-settled in its entirety provided the share-based payment would have been classified as equity-settled had it not included the net settlement feature.

– *Accounting for modifications of share-based payment transactions from cash-settled to equity-settled*

Up until this point, IFRS 2 did not specifically address situations where a cash-settled share-based payment changes to an equity-settled share-based payment because of modifications of the terms and conditions. The IASB has introduced the following clarifications:

- On such modifications, the original liability recognised in respect of the cash-settled share-based payment is derecognised and the equity-settled share-based payment is recognised at the modification date fair value to the extent services have been rendered up to the modification date.
- Any difference between the carrying amount of the liability as at the modification date and the amount recognised in equity at the same date would be recognised in profit and loss immediately.

The amendments are effective for annual periods beginning on or after 1 January 2018. Earlier application is permitted. The amendments are to be applied prospectively. However, retrospective application is allowed if this is possible without the use of hindsight. If an entity applies the amendments retrospectively, it must do so for all of the amendments described above.

The adoption of these changes is not expected to be significant to the amounts and disclosures of the Group and Company's financial statements

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016 - continued

Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4)

The amendments in Applying IFRS 9 'Financial Instruments' with IFRS 4 'Insurance Contracts' (Amendments to IFRS 4) provide two options for entities that issue insurance contracts within the scope of IFRS 4:

- an option that permits entities to reclassify, from profit or loss to other comprehensive income, some of the income or expenses arising from designated financial assets; this is the so-called overlay approach;
- an optional temporary exemption from applying IFRS 9 for entities whose predominant activity is issuing contracts within the scope of IFRS 4; this is the so-called deferral approach.

The application of both approaches is optional and an entity is permitted to stop applying them before the new insurance contracts standard is applied.

An entity applies the overlay approach retrospectively to qualifying financial assets when it first applies IFRS 9. Application of the overlay approach requires disclosure of sufficient information to enable users of financial statements to understand how the amount reclassified in the reporting period is calculated and the effect of that reclassification on the financial statements.

An entity applies the deferral approach for annual periods beginning on or after 1 January 2018. Predominance is assessed at the reporting entity level at the annual reporting date that immediately precedes 1 April 2016. Application of the deferral approach needs to be disclosed together with information that enables users of financial statements to understand how the insurer qualified for the temporary exemption and to compare insurers applying the temporary exemption with entities applying IFRS 9. The deferral can only be made use of for the three years following 1 January 2018. Predominance is only reassessed if there is a change in the entity's activities.

The adoption of these changes is not expected to affect the amounts and disclosures of the Company and Group's financial statements.

IFRS 16: Leases

On 13 January 2016 the IASB issued IFRS 16 Leases, completing the IASB's project to improve the financial reporting of leases. IFRS 16 replaces the previous leases standard, IAS 17 Leases, and related interpretations.

IFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the customer ('lessee') and the supplier ('lessor'). The standard defines a lease as a contract that conveys to the customer ('lessee') the right to use an asset for a period of time in exchange for consideration.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016 - continued

IFRS 16: Leases - continued

A company assesses whether a contract contains a lease on the basis of whether the customer has the right to control the use of an identified asset for a period of time.

The standard eliminates the classification of leases as either operating leases or finance leases for a lessee and introduces a single lessee accounting model. All leases are treated in a similar way to finance leases. Applying that model significantly affects the accounting and presentation of leases and consequently, the lessee is required to recognise:

- (a) assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. A company recognises the present value of the unavoidable lease payments and shows them either as lease assets (right-of-use assets) or together with property, plant and equipment. If lease payments are made over time, a company also recognises a financial liability representing its obligation to make future lease payments.
- (b) depreciation of lease assets and interest on lease liabilities in profit or loss over the lease term; and
- (c) separate the total amount of cash paid into a principal portion (presented within financing activities) and interest (typically presented within either operating or financing activities) in the statement of cash flows

IFRS 16 substantially carries forward the lessor accounting requirements in IAS 17. Accordingly, a lessor continues to classify its leases as operating leases or finance leases, and to account for those two types of leases differently. However, compared to IAS 17, IFRS 16 requires a lessor to disclose additional information about how it manages the risks related to its residual interest in assets subject to leases.

The standard does not require a company to recognise assets and liabilities for:

- (a) short-term leases (i.e. leases of 12 months or less) and;
- (b) leases of low-value assets

The new Standard is effective for annual periods beginning on or after 1 January 2019. Early application is permitted insofar as the recently issued revenue Standard, IFRS 15 Revenue from Contracts with Customers is also applied.

The Group and Company are assessing the potential impact on the financial statements resulting from the application of IFRS 15.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

3. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(u) Changes in accounting policies and disclosures (continued)

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2016 - continued

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)

The amendments require the full gain to be recognised when assets transferred between an investor and its associate or joint venture meet the definition of a 'business' under IFRS 3 Business Combinations. Where the assets transferred do not meet the definition of a business, a partial gain to the extent of unrelated investors' interests in the associate or joint venture is recognised. The definition of a business is key to determining the extent of the gain to be recognised.

The effective date for these changes has now been postponed until the completion of a broader review.

The Group and Company are assessing the potential impact on the financial statements resulting from the application of these amendments.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
4. REVENUE, OTHER INCOME AND EXPENSES
(a) Revenue

Sale of electrical cables and conductors

Group		Company	
2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
3,650,451	3,724,212	3,255,984	3,112,175

(b) Other income

Fair value gain on investment property (Note 13)

Miscellaneous income

Group		Company	
2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
-	40,000	-	40,000
7,459	8,520	15,018	8,481
7,459	48,520	15,018	48,481

(c) Expenses by nature

Raw materials and consumables

Employee benefits and other staff costs (Note 5)

Electricity expenses

Repairs and maintenance

Professional and consultancy costs

Vehicle expenses

Other expenses

Comprising:

Cost of sales

Factory expenses

Administrative expenses

Selling expenses

Group		Company	
2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
2,775,559	2,895,327	2,445,209	2,474,584
327,637	332,432	260,618	250,717
74,095	85,397	64,389	73,274
82,988	49,861	80,925	41,490
58,754	63,193	53,862	57,201
16,211	16,093	11,794	10,645
334,285	420,471	253,101	198,521
3,669,529	3,862,774	3,169,898	3,106,432
2,846,146	3,110,205	2,511,586	2,551,262
339,411	231,148	290,454	160,052
345,209	401,778	269,698	302,942
138,763	119,643	98,160	92,176
3,669,529	3,862,774	3,169,898	3,106,432

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

5. STAFF COSTS

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Direct labour	78,254	91,678	66,377	76,678
Indirect factory salaries	83,308	72,846	66,914	48,146
Administration salaries and wages	97,776	102,111	77,867	74,518
Distribution salaries and wages	52,506	52,328	39,982	42,850
Pension contributions	15,793	13,469	9,478	8,525
	327,637	332,432	260,618	250,717

6. OTHER OPERATING EXPENSES

(a) Impairment losses

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Receivables impairment	248,215	329,007	226,651	192,112

(b) Depreciation and Amortisation

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Depreciation	232,680	213,436	155,166	160,527
Amortisation of intangible assets	6,466	1,919	4,975	1,919
Amortisation of prepaid operating lease rentals	32,508	15,379	31,773	14,614
	271,654	230,734	191,914	177,060

7. NET FINANCE COST

Finance cost

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Interest expense	(258,851)	(125,027)	(180,396)	(122,399)
Exchange gains	46,973	23,312	46,973	33,194
Exchange losses	(66,983)	(335,506)	-	(157,903)
Net exchange losses	(20,010)	(312,194)	46,973	(124,709)
Total	(278,861)	(437,221)	133,423	(247,108)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
8. LOSS BEFORE TAX

Loss before tax is arrived at after charging/(crediting):

	Group		Company	
	2016	2015	2016	2015
	KShs '000	KShs '000	KShs '000	KShs '000
Depreciation expense (Note 11)	232,680	213,338	155,166	160,430
Amortisation of operating lease rentals (Note 12)	32,508	15,379	31,773	14,614
Amortisation of intangible assets (Note 15)	6,466	1,919	4,975	1,919
Interest expense (Note 7)	258,851	125,027	180,396	122,399
Directors' emoluments: - Fees (Note 25)	18,421	20,064	13,074	13,006
- Other (Note 25)	1,556	1,199	1,156	1,199
Auditors' remuneration	8,063	7,720	5,580	5,550
Write off of property, plant and equipment	195	510	-	-

9. INCOME TAX
(a) Income tax (credit)/expense

	Group		Company	
	2016	2015	2016	2015
	KShs '000	KShs '000	KShs '000	KShs '000
Current year	1,870	2,427	1,870	2,427
Prior year over provision	-	(15,659)	-	(15,659)
	1,870	(13,232)	1,870	(13,232)
Deferred tax credit (Note 22)				
Movement through profit or loss	(229,617)	(331,932)	(123,523)	(153,653)
Prior year over provision	-	(636)	-	(636)
	(229,617)	(332,568)	(123,523)	(154,289)
Income tax credit recognised in profit or loss	(227,747)	(345,800)	(121,653)	(167,521)
Income tax expense recognised in other comprehensive income -Deferred tax (Note 22)	-	453,890	-	215,979
Total income tax (credit)/expense	(227,747)	108,090	(121,653)	48,458

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

9. INCOME TAX (Continued)

(b) Tax reconciliation

The tax on the consolidated results differs from the theoretical amount using the basic tax rate as follows:

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Loss before income tax	(810,349)	(1,087,004)	(450,794)	(562,056)
Other comprehensive income	-	1,512,965	-	719,929
	(810,349)	425,961	(450,794)	157,873
Tax calculated at the statutory income tax rate of 30%	(243,105)	127,788	(135,238)	47,362
Prior year overprovision - deferred tax	-	(636)	-	(636)
Prior year overprovision - current income tax	-	(15,659)	-	(15,659)
Deferred tax on investment property at 5%	-	2,000	-	2,000
Non-taxable gain – investment property	-	(12,000)	-	(12,000)
Other non-deductible costs	15,358	6,597	(13,585)	27,391
	(227,747)	108,090	(121,653)	48,458

(b) Current tax balances

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Balance as at 1 January	51,879	34,486	67,092	53,860
Current tax charge	(1,870)	(2,427)	(1,870)	(2,427)
Prior year over-provision	-	15,659	-	15,659
Paid during the year	34	2,315	34	-
Foreign exchange translation differences	100	1,846	-	-
Balance as at 31 December	50,143	51,879	65,256	67,092
Comprising:				
Current tax recoverable	65,256	67,092	65,256	67,092
Current tax payable	(15,113)	(15,213)	-	-
	50,143	51,879	65,256	67,092

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
10 BASIC AND DILUTED EARNINGS PER SHARE

The calculation of basic and diluted earnings per share is based on:

	2016	2015
Loss attributable to ordinary shareholders (KShs '000)	(454,725)	(560,020)
Weighted average number of ordinary shares outstanding during the year	253,125,000	253,125,000
Basic and diluted earnings per share (KShs)	(1.80)	(2.21)

11. PROPERTY, PLANT AND EQUIPMENT
(a) Group

2016:	Leasehold buildings KShs'000	Furniture, Plant and machinery KShs'000	Construction Motor vehicles KShs'000	fittings & equipment KShs'000	work in progress KShs'000	Total KShs'000
Cost or valuation:						
At 1 January 2016	2,394,957	1,579,825	45,586	72,458	12,995	4,105,821
Additions	27,187	41,781	-	7,315	327,101	403,384
Transfers:						
-within PPE	-	214,972	-	-	(214,972)	-
-to prepaid operating lease (Note 12)	-	-	-	-	-	-
-to intangible assets (Note 15)	-	-	-	-	-	-
Write-offs	-	-	(1,332)	-	-	(1,332)
Revaluation	-	-	-	-	-	-
Exchange differences	(9,387)	(1,824)	(149)	(145)	(48)	(11,553)
At 31 December 2016	2,412,757	1,834,754	44,105	79,628	125,076	4,496,320
Depreciation:						
At 1 January 2016	10,789	103,485	35,323	38,914	-	188,511
Charge for the year	75,671	142,993	7,184	6,832	-	232,680
Write-offs	-	-	(1,137)	-	-	(1,137)
Revaluation	-	-	-	-	-	-
Exchange differences	732	184	(28)	(46)	-	842
At 31 December 2016	87,192	246,662	41,342	45,700	-	420,896
Net carrying value:						
At 31 December 2016	2,325,565	1,588,092	2,763	33,928	125,076	4,075,424

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

11. PROPERTY, PLANT AND EQUIPMENT (Continued)

(a) Group

2015:	Leasehold buildings KShs'000	Plant and machinery KShs'000	Furniture, Construction Motor vehicles KShs'000	fittings & equipment KShs'000	work in progress KShs'000	Total KShs'000
Cost or valuation:						
At 1 January 2015	2,116,625	1,559,785	49,135	60,119	190,679	3,976,343
Additions	3,102	30,617	-	9,555	156,204	199,478
Transfers:						
-within PPE	126,628	197,022	-	-	(323,650)	-
-to prepaid operating lease (Note 12)	(191,722)	-	-	-	-	(191,722)
-to intangible assets (Note 15)	-	-	-	-	(9,473)	(9,473)
Write-offs	-	-	(1,053)	(1,242)	-	(2,295)
Revaluation	420,834	(177,159)	-	2,806	-	246,481
Exchange differences	(80,510)	(30,440)	(2,496)	1,220	(765)	(112,991)
At 31 December 2015	2,394,957	1,579,825	45,586	72,458	12,995	4,105,821
Depreciation:						
At 1 January 2015	98,979	264,456	29,252	33,723	-	426,410
Charge for the year	52,833	144,901	8,074	7,530	-	213,338
Write-offs	-	-	(768)	(1,017)	-	(1,785)
Revaluation	(134,018)	(302,863)	-	(233)	-	(437,114)
Exchange differences	(7,005)	(3,009)	(1,235)	(1,089)	-	(12,338)
At 31 December 2015	10,789	103,485	35,323	38,914	-	188,511
Net carrying value: At 31 December 2015	2,384,168	1,476,340	10,263	33,544	12,995	3,917,310

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
11. PROPERTY, PLANT AND EQUIPMENT (Continued)
(b) Company

2016:	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
Cost or valuation:						
At 1 January 2016	966,999	1,302,382	22,942	49,971	5,575	2,347,869
Additions	27,188	38,841		6,609	326,631	399,269
Transfers:						
-within PPE	-	214,972	-	-	(214,972)	-
-to prepaid operating lease (Note 12)	-	-	-	-	-	-
-to intangible assets (Note 15)	-	-	-	-	-	-
Revaluations	-	-	-	-	-	-
At 31 December 2016	994,187	1,556,195	22,942	56,580	117,234	2,747,138
Depreciation:						
At 1 January 2016	-	101,736	19,495	26,727	-	147,958
Charge for the year	19,588	129,313	1,831	4,434	-	155,166
Revaluations		-	-	-	-	-
At 31 December 2016	19,588	231,049	21,326	31,161	-	303,124
Net carrying value: At 31 December 2016	974,599	1,325,146	1,616	25,419	117,234	2,444,014
2015:						
Cost or valuation:						
At 1 January 2015	1,271,870	1,274,241	22,942	39,087	182,637	2,790,777
Additions		30,273		8,124	148,785	187,182
Transfers:						
-within PPE	119,351	197,023	-	-	(316,374)	-
-to prepaid operating lease (Note 12)	(191,722)	-	-	-	-	(191,722)
-to intangible assets (Note 15)	-	-	-	-	(9,473)	(9,473)
Revaluations	(232,500)	(199,155)	-	2,760	-	(428,895)
At 31 December 2015	966,999	1,302,382	22,942	49,971	5,575	2,347,869
Depreciation:						
At 1 January 2015	31,400	236,384	17,431	21,768	-	306,983
Charge for the year	21,603	131,804	2,064	4,959	-	160,430
Revaluations	(53,003)	(266,452)	-	-	-	(319,455)
At 31 December 2015	-	101,736	19,495	26,727	-	147,958
Net carrying value: At 31 December 2015	966,999	1,200,646	3,447	23,244	5,575	2,199,911

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

11. PROPERTY, PLANT AND EQUIPMENT (Continued)

Revaluation

The directors are of the view that the value carried in the books is a fair estimate of the current value of the assets as at the balance sheet date.

Included in property, plant and equipment are assets with a gross value of KShs 353,992,000 (2015 - KShs 317,529,000), which are fully depreciated, and still in use. Such assets would have attracted a notional depreciation of KShs 44,249,000 (2015 - KShs 39,691,000).

If the leasehold buildings, plant and machinery were stated on the historical cost basis, the amounts would be as follows:

Group	Leasehold Buildings KShs'000	Plant & Machinery KShs'000	Total KShs'000
At 31 December 2016			
Cost	911,702	2,091,446	3,003,148
Accumulated Depreciation	(131,967)	(1,213,176)	(1,345,143)
Net carrying value	779,735	878,270	1,658,005
At 31 December 2015			
Cost	893,902	1,836,517	2,730,419
Accumulated Depreciation	(113,732)	(1,079,316)	(1,193,048)
Net carrying value	780,170	757,201	1,537,371
Company	Leasehold Buildings KShs'000	Plant & Machinery KShs'000	Total KShs'000
At 31 December 2016			
Cost	832,833	1,818,052	2,650,885
Accumulated Depreciation	(112,325)	(1,036,544)	(1,148,869)
Net carrying value	720,508	781,508	1,502,016
At 31 December 2015			
Cost	805,646	1,564,239	2,369,885
Accumulated Depreciation	(95,668)	(885,777)	(981,445)
Net carrying value	709,978	678,462	1,388,440

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
11. PROPERTY, PLANT AND EQUIPMENT (Continued)
Security

At 31 December 2016, land and buildings with a carrying amount of KShs 1,370 million (2015 – KShs 1,370 million) are subject to a registered debenture securing a bank loan facility for the company. Plant and machinery with a carrying amount of KShs 3,800 million (2015 - KShs 2,700 million) are subject to a registered debenture to secure bank loan facilities for the company. A motorvehicle with a cost of KShs. 3.9 million (2015 - KShs 3.9 million) is also held as security for a bank loan.

The subsidiary has charged property, plant and equipment of KShs 157 million equivalent (2015 – KShs 157 million).

12. PREPAID OPERATING LEASE RENTALS

	Group		Company	
	2016	2015	2016	2015
	KShs '000	KShs '000	KShs '000	KShs '000
Carrying value of leasehold land at 1 January	1,145,610	141,163	1,105,000	98,522
Transfer from Property, plant and equipment (Note 11)	-	191,722	-	191,722
Revaluation	-	829,370	-	829,370
Amortisation for the year	(32,508)	(15,379)	(31,773)	(14,614)
Exchange adjustment	1,529	(1,266)	-	-
Balance as at 31 December	1,114,631	1,145,610	1,073,227	1,105,000

If the prepaid operating rentals were stated on the historical cost basis, the amounts would be as follows:

	Group		Company	
	2016	2015	2016	2015
	KShs '000	KShs '000	KShs '000	KShs '000
Carrying value of leasehold land at 1 January	316,240	141,163	275,630	98,522
Transfer from Property, plant and equipment (Note 11)	-	191,722	-	191,722
Amortisation for the year	(15,812)	(15,379)	(13,781)	(14,614)
Exchange adjustment	(2,344)	(1,266)	-	-
Balance as at 31 December	298,084	316,240	261,849	275,630

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

13. INVESTMENT PROPERTIES

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Balance as at 1 January	362,252	348,299	115,000	75,000
Change in fair value	-	40,000	-	40,000
Transfer to assets held for sale	(245,626)	-	-	-
Exchange differences	(1,626)	(26,047)	-	-
Balance as at 31 December	115,000	362,252	115,000	115,000

Investment properties comprise of residential houses that have been leased to third parties and are carried at fair value.

The investment properties of parent company and its subsidiary, East African Cables (Tanzania) Limited, were revalued in December 2015 by Lloyd Masika Limited, a firm of independent professional valuers on the basis of open market value for existing use. The open market values are the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. The resulting fair value change is dealt with through profit or loss.

14. ASSET HELD FOR SALE

In 2015, the Board of Directors committed to a plan to sell the investment property, a residential property on LR NO. 21707, Plot 581 situated on Malik Road, Upanga West Area, Dar es salaam, Tanzania with a carrying value of KShs 245,626,000 (2015 - KShs 245,626,000). On 31st December, 2015, the property was valued for TZS 6,519,000,000 (KShs 306,750,000) (Land – TZS 5,212,772,759 (KShs 254,286,000), Developments – TZS 1,306,227,241 (KShs 254,626,000)). After removing all costs associated with disposal, it is expected to yield at least TZS 5,220,000,000. Efforts to sell have started and a sale is expected by end 2017.

15. INTANGIBLE ASSETS

Computer software:

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Net carrying value at 1 January	13,896	3,306	13,444	3,156
Additions during the year	6,383	2,734	981	2,734
Transfer from Property, plant and equipment (Note 11)	-	9,473	-	9,473
Amortisation for the year	(6,466)	(1,919)	(4,975)	(1,919)
Exchange adjustment	(24)	302	-	-
Net carrying value at 31 December	13,789	13,896	9,450	13,444

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**
16. INVESTMENT IN SUBSIDIARY COMPANY

	2016 KShs'000	2015 KShs'000
East African Cables (Tanzania) Limited	115,037	115,037

On 31 October 2005, the Company purchased 51% of the share capital of East African Cables (Tanzania) Limited, a company incorporated in Tanzania.

The company also owns Yana Trading Limited a company incorporated in South Africa which is dormant.

The overall results of operations for the subsidiary, East African Cables (Tanzania) Limited is as follows:

	2016 KShs '000	2015 KShs '000
Revenue for the year ended 31 December	394,468	629,804
Loss after tax for the year ended 31 December	(260,238)	(369,000)

17. INVENTORIES

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Finished goods	174,749	351,288	90,034	262,846
Raw materials	169,898	193,048	116,729	152,295
Work in progress	107,396	179,335	98,095	163,689
Strategic spares and lubricants	62,756	100,109	40,973	75,308
Stationery and printing	4,805	2,785	1,130	1,050
	519,604	826,565	346,961	655,188

18. TRADE AND OTHER RECEIVABLES

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Trade receivables (Note 28 (a))	1,152,175	1,636,273	884,849	1,140,066
Prepaid expenses	116,650	170,500	59,437	148,757
Prepayments for machinery & spares	35,889	162,671	35,889	162,671
Due from subsidiary (Note 25 (c))	-	-	478,996	510,127
Due from other related parties (Note 25 (c))	49,176	44,261	38,871	34,605
	1,353,890	2,013,705	1,498,042	1,996,226

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

19. CAPITAL AND RESERVES

(a) Share capital

**Group and Company:
Authorised, issued and fully paid:**

Ordinary shares of KShs 0.50 each
at 1 January and 31 December

	2016		2015	
	Number of shares (Thousands)	KShs'000	Number of shares (Thousands)	KShs'000
	253,125	126,563	253,125	126,563

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the company.

(b) Share premium

Share premium (Group and company)

	2016 KShs '000	2015 KShs '000
	545	545

(c) Revaluation reserve

The revaluation reserve relates to the revaluation of property, plant and equipment, prepaid operating lease rentals and investment property revaluation prior to transfer on reclassification as investment property. The revaluation reserve is stated net of the associated deferred tax and is not available for distribution as dividends.

(d) Foreign currency translation reserve

The foreign currency translation reserve comprises all foreign currency differences arising from the translation of the financial statement of foreign operations, which include subsidiaries and branches.

(e) Non-controlling interests

The following table summarises the information relating to East Africa Cables Tanzania Limited, a subsidiary that has material non-controlling interest (NCI) before any intra-group eliminations:

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
19. CAPITAL AND RESERVES (Continued)
(e) Non-controlling interests (continued)

In Kshs'000	2016	2015
NCI percentage	49.00%	49.00%
Non-current assets	1,635,750	1,965,104
Current assets	748,229	704,519
Non-current liabilities	(704,287)	(812,803)
Current liabilities	(615,499)	(487,591)
Lease Operating rentals	41,404	40,610
Net assets	1,105,597	1,409,839
Carrying amount of NCI	557,457	690,822
Revenue	394,468	629,804
Loss	(260,238)	(369,000)
OCI	-	565,357
Total comprehensive income	(260,238)	196,357
Loss allocated to NCI	(127,877)	(180,810)
OCI allocated to NCI	-	277,025
Cash flows from operating activities	22,086	(88,078)
Cash flows from investment activities	(9,323)	(12,297)
Cash flows from financing activities (dividends to NCI: nil)	44,586	110,872
Net increase (decrease) in cash and cash equivalents	13,176	10,497

(f) Dividend per share

The directors do not propose the payment of a dividend in respect of the year ended 31 December 2016 (2015 – Nil) per share. Dividend is paid less withholding tax where applicable.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

20. BANK LOANS AND BORROWINGS

(a) Outstanding balances, terms and repayment schedule

	Currency	Nominal Interest Rate (p.a.)	Group		Company	
			2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Standard Chartered Bank Kenya Limited	US\$ and KShs	US\$ (9%) KShs (14%)	1,725,130	1,662,658	1,725,130	1,662,658
Standard Chartered Bank Tanzania Limited	US\$	6.5%	488,514	383,009	-	--
Ecobank Kenya Limited	KShs	14%	295,030	210,840	295,030	210,840
Chase Bank Kenya Limited	KShs	14%	249,741	360,874	249,741	360,874
Credit Bank Kenya Limited	KShs	14%	34,580	-	34,580	-
			2,792,995	2,617,381	2,304,481	2,234,372
Comprising:		Year of Maturity				
Non-current liability		2018 - 2020	632,712	842,772	578,053	842,772
Current liability		2017	2,160,283	1,774,609	1,726,428	1,391,600
			2,792,995	2,617,381	2,304,481	2,234,372

(b) Loan movement schedule

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Balance at 1 January	2,617,381	2,030,334	2,234,372	1,730,986
Received during the year	2,570,446	4,105,178	2,496,842	3,318,435
Repaid during the year	(2,397,349)	(3,518,131)	(2,426,835)	(2,815,049)
Foreign currency translations	2,517	-	102	-
Balance at 31 December	2,792,995	2,617,381	2,304,481	2,234,372
Comprising:				
Non-current liability	632,712	842,772	578,053	842,772
Current liability	2,160,283	1,774,609	1,726,428	1,391,600
	2,792,995	2,617,381	2,304,481	2,234,372

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
20. BANK LOANS AND BORROWINGS (continued)
(c) Securities and covenants

East Africa Cables Limited (Kenya) has entered into a facility arrangement with banks and the borrowings are secured by certain land and buildings for KShs 1,370 million (2015 - KShs 1,370 million) and debentures over all assets of the company for KShs 3.2 billion (2015 - KShs 2.9 billion). The bank facility comprises term loan, letters of credit, bonds/guarantee and forex dealing. The subsidiary, East African Cables (Tanzania) Limited, has a term loan with Standard Bank (Tanzania) Limited. The loan is charged against the leasehold land and moveable assets of the subsidiary.

During the year, East Africa Cables Limited (Kenya) renegotiated with its lenders to extend repayment of borrowings amounting to KShs 463,568,618 which were initially due as at 31 December 2016, to be repaid in 2017.

21. RETIREMENT BENEFITS OBLIGATIONS

2016:	Balance at 1/1/2016 KShs'000	Movement KShs'000	Balance at 31/12/2016 KShs'000
Group			
Staff gratuity	23,141	4,834	27,975
Company			
Staff gratuity	14,028	3,122	17,150
2015:	Balance at 1/1/2015 KShs'000	Movement KShs'000	Balance at 31/12/2015 KShs'000
Group			
Staff gratuity	22,045	1,096	23,141
Company			
Staff gratuity	13,393	635	14,028

The Company operates a defined contribution retirement benefits scheme for its non-unionisable employees. The scheme is administered independently by Eagle Africa Insurance Brokers Limited and is funded by contributions from both the company and the employees. The scheme's funds are managed by ICEA Limited. During the year, the company expensed KShs 9,477,893 (2015 - KShs 8,525,164) in contributions payable. The group expensed KShs 15,793,001 (2015 - KShs 13,469,133).

The Company's staff affiliated with unions are eligible to a gratuity upon retirement based on 16 days pay if an employee has served 1-5 years, 20 days pay if an employee has served 6-10 years and 23 days pay if an employee has served 11 years and above. Gratuity is computed at current salary. A provision is made in the financial statements for the estimated liability of such gratuity payable.

The subsidiary, East African Cables (Tanzania) Limited, makes statutory contributions to the National Social Security Fund (NSSF) and the Parastatal Pension Fund (PPF). The subsidiary's obligations in respect of contributions to such funds are 15% of the employee basic salary in respect of PPF and 10% of the employee gross emoluments in respect of NSSF. Contributions to these pension funds are recognised as an expense in the period the employee renders the relative service.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

21. DEFERRED TAX LIABILITIES

(a) Group

Movements in the deferred tax liabilities during the year are as follows:

	At 1 January	Prior year (over)/ under provisions	Recognised through profit or loss	Recognised through other comprehensive income	Exchange difference	Balance at 31 December
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
2016:						
Staff gratuity provision	(6,942)	-	(1,461)	-	(11)	(8,414)
Other provisions and accruals	(193,810)	-	(140,439)	-	(1,235)	(335,484)
Tax loss	(294,643)	-	(97,536)	-	(336)	(392,515)
Property, plant and equipment	1,270,390	-	11,386	-	(649)	1,281,127
Revaluation of investment property	47,513	-	-	-	-	47,513
Unrealised exchange gain	6,994	-	(1,568)	-	(1,355)	4,071
	829,502	-	(229,618)	-	(3,586)	596,298
2015:						
Staff gratuity provision	(6,613)	-	(583)	-	254	(6,942)
Other provisions and accruals	(105,064)	(2,109)	(94,923)	-	8,266	(193,810)
Tax loss	(15,658)	(685)	(280,567)	-	2,267	(294,643)
Property, plant and equipment	817,853	(409)	29,428	453,890	(30,372)	1,270,390
Revaluation of investment property	47,803	3,033	2,000	-	(5,323)	47,513
Unrealised exchange gain	(6,840)	(466)	12,713	-	1,587	6,994
	731,481	(636)	(331,932)	453,890	(23,301)	829,502

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
22. DEFERRED TAX LIABILITIES (Continued)
(b) Company

Movements during the year are as follows:

	Balance at 1 January	Prior year over/under provisions	Recognise through profit or loss	Recognise through other comprehensive income	Balance at 31 December
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
2016:					
Staff gratuity provision	(4,209)	-	(937)	-	(5,146)
Other provisions and accruals	(87,013)	-	(81,722)	-	(168,735)
Tax loss	(171,464)	-	(81,568)	-	(253,032)
Unrealised exchange gain	6,994	-	(1,566)	-	5,428
Property, plant and equipment	765,532	-	42,270	-	807,802
Revaluation on investment property	5,033	-	-	-	5,033
	514,873	-	(123,523)	-	391,350
2015:					
Staff gratuity provision	(4,018)	-	(191)	-	(4,209)
Other provisions and accruals	(31,050)	(2,109)	(53,854)	-	(87,013)
Tax loss	(15,658)	(685)	(155,121)	-	(171,464)
Unrealised exchange gain	(5,253)	(466)	12,713	-	6,994
Property, plant and equipment	509,162	(409)	40,800	215,979	765,532
Revaluation on investment property	-	3,033	2,000	-	5,033
	453,183	(636)	(153,653)	215,979	514,873

23. TRADE AND OTHER PAYABLES

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Trade payables	870,573	962,288	786,805	893,676
Due to fellow subsidiaries (Note 25 (d))	1,875	66,348	-	-
Due to other related parties (Note 25 (d))	26,878	-	26,878	-
Other payables and accrued expenses	214,124	177,565	173,533	223,260
	1,113,450	1,206,201	987,216	1,116,936

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

24. DIVIDEND PAYABLE

The movement in the dividend payable account is as follows:

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
At beginning of year	32,554	163,900	32,554	163,900
Declared during the year	-	126,563	-	126,563
Paid during the year	(2,276)	(257,909)	(2,276)	(257,909)
At end of year	30,278	32,554	30,278	32,554

Included in dividend payable is KShs Nil (2015 – KShs NIL) payable to related parties.

25. RELATED PARTY TRANSACTIONS

The following transactions were carried out with related parties:

(a) Directors and executives officers

The total remuneration of directors and executive officers is as follows:

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Directors' emoluments: - Fees	18,421	20,064	13,074	13,006
- Others	1,556	1,199	1,556	1,199
Senior managements' remuneration	87,975	79,738	66,380	60,184
	107,952	101,001	81,010	74,389

(b) Amounts due from the directors

No amounts were due from the directors at close of the year (2015 – Nil).

The terms and conditions of the transactions with key management personnel were no more favourable than those available, or which might reasonably be expected to be available, on similar transactions to non-key management personnel related entities on an arm's length basis.

(c) Due from related parties

Group:

As at 31 December 2016, related parties owed the group KShs 62,157,000 (2015 – KShs 44,261,000).

Company:

The subsidiary, East African Cables (Tanzania) Limited owed the company KShs 478,996,000 as at 31 December 2016 (2015 – KShs 510,127,000).

Other related parties owed the company KShs 38,871,000 at the close of the year (2015 – KShs 34,605,000).

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

25. RELATED PARTY TRANSACTIONS (Continued)

(d) Amounts due to related parties

As at 31 December 2015, the group and company owed other related parties KShs 26,878,000 (2015 – KShs 66,348,000).

All entities mentioned in (c) and (d) above have common ownership with the Group. All outstanding balances with these related parties are priced on an arm's length basis and on the same terms and conditions as those entered into by other Group employees or customers. None of the balances is secured

(e) Shareholders loan

	2016 KShs'000	2015 KShs'000
Company:		
Balance at 1 January	383,631	326,152
Repaid during the year	-	(9,400)
Accrued interest	31,685	25,541
Exchange loss	572	41,338
Balance at 31 December	415,888	383,631

On 22 April 2014, the company received unsecured loan of USD 4 million from Trans-Century Limited with a tenor of 20 months from the drawdown date at an interest rate of 9% per annum. The loan was converted to long-term loan and interest continues to accrue at 9% per annum.

On 16 October 2015 the loan was subordinated to bank borrowings and reclassified to long term liabilities.

26. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of loss before tax to cash flow from operating activities

	Group		Company	
	2016 KShs '000	2015 KShs '000	2016 KShs '000	2015 KShs '000
Loss before tax	(810,349)	(1,087,004)	(450,794)	(562,056)
Adjustments for:				
Depreciation (Note 11)	232,680	213,338	155,166	160,430
Amortisation of prepaid operating lease (Note 12)	32,508	15,379	31,773	14,614
Amortisation of intangible assets (Note 15)	6,466	1,919	4,975	1,919
Property, plant and equipment write off (Note 11 (a))	195	510	-	-
Fair value gain on investment property (Note 13)	-	(40,000)	-	(40,000)
Interest expense (Note 7)	258,851	125,027	180,396	122,399
Net foreign currency changes	(2,147)	(30,681)	111	1,796
Increase in provision for staff gratuity (Note 21)	4,834	1,096	3,122	635
Operating loss before working capital changes	(276,962)	(800,416)	(75,251)	(300,263)
Decrease/(increase) in inventories	306,961	32,839	308,227	(60,224)
Decrease in trade and other receivables	659,815	905,000	498,184	448,268
(Decrease)/increase in trade and other payables	(92,751)	9,520	(129,720)	114,299
Cash generated from operations	597,063	146,943	601,440	202,080

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

26. NOTES TO THE STATEMENT OF CASH FLOWS (CONTINUED)

(b) Cash and cash equivalents at 31 December

Group

	2016	2015	Change in year
	KShs '000	KShs '000	KShs '000
Bank overdraft	-	(126,533)	126,533
Cash and bank balances	45,186	37,713	7,473
Cash and cash equivalents	45,186	(88,820)	134,006

Company

	2016	2015	Change in year
	KShs '000	KShs '000	KShs '000
Bank overdraft	-	(109,964)	109,964
Cash and bank balances	29,037	18,151	10,886
Cash and cash equivalents	29,037	(91,813)	120,850

27. CONTINGENT LIABILITIES

Claims have been made by certain former employees of the Group and Company resulting from termination of employment. However, in the opinion of the Directors, no significant liability is likely to crystallise. Furthermore, this cannot be currently established.

Guarantees with the bankers amounted to KShs 195,450,115 as at 31 December 2016 (2015 – KShs 68,699,941). Letters of credit amounted to KShs 565,631,475 as at 31 December 2016 (2015 – KShs 911,273,545) whose related liabilities have been accrued in the financial statements as appropriate for the supplies.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

28. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Overview

The Group has exposure to the following risks from its use of financial instruments:

- (a) Credit risk;
- (b) Liquidity risk; and
- (c) Market risk.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

The board of directors has overall responsibility for the establishment and oversight the Group's risk management framework. The finance department identifies, evaluates and addresses financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, and investing excess liquidity.

The Board of Directors oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company.

(a) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investment securities.

Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Company's customer base, including the default risk of the industry and country in which customers operate, has less of an influence on credit risk.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

The Group has a stringent debt provisioning policy that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main component of this allowance specific loss component that relates to individually significant exposures.

The Group also manages the level of credit risk by focusing on customer satisfaction as a key performance indicator. It also maintains a short credit period. Due to the nature of the Group's activities, credit risk concentrations are high due to reliance on some customers and as such close monitoring of credit relationships is carried out.

The carrying amount of financial assets represents the maximum exposure to credit risk. The maximum exposure to credit risk at the reporting date was:

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

28. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (continued)

	2016 KShs'000	Carrying amount 2015 KShs'000
Trade receivables	1,152,175	1,636,273
Due from related parties	62,157	44,261
Cash and cash equivalents	45,186	37,713
	1,259,518	1,718,247

Short term deposits

The Group limits its exposure to credit risk by only investing in short term deposits in money market.

Impairment losses

The aging of trade receivables at the reporting date was:

	2016 KShs'000	Group 2015 KShs'000	2016 KShs'000	Company 2015 KShs'000
Not past due	217,940	277,588	206,653	273,151
Past due 0-90 Days	364,011	510,943	316,648	403,215
Past due 90-365 Days	415,065	683,130	373,053	584,856
More than a year	860,922	622,640	474,551	136,565
Gross trade receivables	1,857,938	2,094,301	1,370,905	1,397,787
Allowance for impairment	(705,763)	(458,028)	(486,056)	(257,721)
Net trade receivables	1,152,175	1,636,273	884,849	1,140,066

Based on historic default rates, the Group believes that, apart from the above, no impairment allowance is necessary in respect of trade receivables not past due or past due by up to 60 days as it relates to customers that have a good payment record with the Group.

The movement in the allowance for impairment in respect of trade receivables during the year was as follows:

	2016 KShs'000	Group 2015 KShs'000	2016 KShs'000	Company 2015 KShs'000
Balance at 1 January	458,028	138,414	257,721	65,610
Net impairment loss recognised	248,215	329,007	226,651	192,111
Write-off of bad debts	1,684	-	1,684	-
Exchange differences	(2,164)	(9,393)	-	-
Balance at 31 December	705,763	458,028	486,056	257,721

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
28. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)
(a) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

Typically the Group ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

The maturities of the Group's financial liabilities are shown below:

31 December 2016:	Due within 3 months	Due between 3-12 months	Due between 1-5 years	Due after 5 years	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Financial liabilities					
Bank overdraft	-	-	-	-	-
Loans and borrowings	(1,353,093)	(807,190)	(632,712)	-	(2,792,995)
Trade payables	(1,085,175)	-	-	-	(1,085,175)
At 31 December 2016	(2,438,268)	(807,190)	(632,712)	-	(3,878,170)
31 December 2015:					
Financial liabilities					
Bank overdraft	(126,533)	-	-	-	(126,533)
Loans and borrowings	(1,219,692)	(554,917)	(842,772)	-	(2,617,381)
Trade payables	(963,888)	-	-	-	(963,888)
At 31 December 2015	(2,310,113)	(554,917)	(842,772)	-	(3,707,802)

In addition, the Group maintains the following lines of credit:

- KShs 2,300 million (2015 - KShs 2,700 million) letter of credit facility for importation of raw materials.

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The Group's operations are subject to the risk of interest rate fluctuations to the extent that interest earning assets (including investments) and interest bearing liabilities mature or reprice at different times or in differing amounts. Risk management activities are aimed at optimizing net interest income, given market interest rates levels consistent with the company's business strategies. The company does not have any significant interest rate risk exposures.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)**

28. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (continued)

(i) Interest rate risk (continued)

The table below summarises the exposure to interest rate risks. Included in the table below are the Group's assets and liabilities at carrying amounts, categorized by the earlier of contractual reprising or maturity dates:

At 31 December 2016	Average effective interest rate	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs '000	Non interest bearing KShs '000	Total KShs'000
Bank overdraft	-	-	-	-	-	-
Bank loans and borrowings	14%	(1,353,094)	(807,190)	(632,712)	-	(2,792,996)
On statement of financial position interest sensitivity gap		(1,353,094)	(807,190)	(632,712)	-	(2,792,996)
At 31 December 2015						
Bank overdraft	9%	(126,533)				(126,533)
Bank loans and borrowings	15%	(1,093,159)	(554,917)	(842,772)	-	(2,490,848)
On statement of financial position interest sensitivity gap		(1,219,692)	(554,917)	(842,772)	-	(2,617,381)

(ii) Currency risk

The company is exposed to currency risk through transactions in foreign currencies. Foreign currency gains and losses are recognised in profit or loss.

In respect of monetary assets and liabilities in foreign currencies, the company ensures that its net exposure is kept to an acceptable level by buying foreign currencies at spot rates to enable the company to meet its obligations.

The Group's exposure to currency risk mainly arises from transactions denominated in US Dollar.

The Group's exposure to foreign currency risk was as follows based on notional amounts in US dollars:

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)
28. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)
(c) Market risk (continued)
(ii) Currency risk (continued)

	2016 KShs'000	Group 2015 KShs'000	2016 KShs'000	Company 2015 KShs'000
Financial assets				
Cash and cash equivalents	1,253	1,016	1,094	816
Trade receivables	703,943	771,604	587,075	424,100
	705,196	772,620	588,169	424,916
Financial liabilities				
Shareholders loan	(415,888)	(383,631)	(415,888)	(383,631)
Bank overdraft	-	(117,165)	-	(100,596)
Bank loan	(626,146)	(356,931)	(137,632)	(356,931)
Trade payables	(664,204)	(912,203)	(577,772)	(912,203)
	(1,706,238)	(1,769,930)	(1,131,292)	(1,753,361)
Net exposure	(1,001,042)	(997,310)	(543,123)	(1,328,445)

The following significant exchange rates applied during the year:

	2016 KShs	Closing rate 2015 KShs	2016 KShs	Average rate 2015 KShs
USD	102.49	102.31	101.52	98.26

Sensitivity analysis

A 10 percent strengthening/weakening of the Kenya shilling against the following currencies would have increased profit or loss by amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant. The analysis is performed on the same basis for 2015:

	Profit or loss KShs'000
At 31 December 2016:	
USD	100,104
At 31 December 2015:	
USD	99,731

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

28. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(d) Capital risk management

The group's objectives when managing capital are to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and the benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Board's policy is to maintain a strong capital base so as to maintain creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and the level of dividend payout to its shareholders.

The group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including current and non-current borrowings) less cash and cash equivalents. Total capital is calculated as equity as shown in the consolidated statement of financial position plus net debt. The gearing ratio at end of the reporting period was as follows:

	2016 KShs'000	Group 2015 KShs'000	2016 KShs'000	Company 2015 KShs'000
Borrowings				
Bank loans	2,792,995	2,617,381	2,304,481	2,234,372
Bank overdraft	-	126,533	-	109,964
Cash and bank balances	(45,186)	(37,713)	(29,037)	(18,151)
Net debt	2,747,809	2,706,201	2,275,444	2,326,185
Total equity	2,584,308	3,149,987	1,577,562	1,878,691
Gearing ratio	106%	86%	144%	124%

The group received a credit rating of BBB on long-term borrowing and A3 on short term borrowing.

29. CAPITAL COMMITMENTS

	2016 KShs '000	2015 KShs '000
Authorised and contracted for	29,000	99,000

30. ULTIMATE HOLDING COMPANY

The ultimate holding company is Trans-Century Limited, a company incorporated in Kenya.

31. EVENTS AFTER THE REPORTING DATE

No material events or circumstances have arisen between the accounting date and the date of this report.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016 (Continued)

32. SEGMENTAL REPORTING

Management has determined the operating segments based on the reports reviewed by the Strategy committee. The committee considers the business from a geographical perspective. This committee has the primary responsibility of overseeing implementation of strategic decisions of the board including product and geographical diversification. Geographically, management considers the performance of the business in Kenya, Uganda and Tanzania. The reportable operating segments derive their revenues primarily from manufacture and sale of electric cables, conductors and traded products. The Strategy committee assesses the performance of the operating segments on a measure of profit/(loss) before tax.

	Kenya & Uganda		Tanzania		Consolidated
	2016	2015	2016	2015	
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
External sales	3,255,983	3,112,175	394,468	629,804	3,741,979
Inter-segment sales	-	(17,767)	-	-	(17,767)
Total sales	3,255,983	3,094,408	394,468	629,804	3,724,212
Segment loss from operations	(317,371)	(314,948)	(214,116)	(334,835)	(649,783)
Net finance costs	(133,423)	(247,108)	(145,438)	(190,113)	(437,221)
Loss before tax	(450,794)	(562,056)	(359,554)	(524,948)	(1,087,004)
Other information:					
Segment assets	5,696,024	6,285,049	1,852,382	2,099,092	8,383,143
Segment liabilities	4,146,363	4,406,358	845,636	827,797	5,234,056
Capital expenditure	399,268	187,181	4,116	12,297	199,478
Depreciation expense & amortisation	191,913	175,044	79,741	52,908	228,717

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period. Segment revenue is based on the geographical location of both customers and assets. Sales between segments are carried out at arm's length. The revenue from external parties reported to the Strategy committee is measured in a manner consistent with that in the income statement. There is no reliance on individually significant customers by the group. The amounts provided to the Strategy committee in respect of total assets and total liabilities are measured in a manner consistent with that of the financial statements.

**FIVE YEAR FINANCIAL RECORD
STATEMENT OF COMPREHENSIVE INCOME SUMMARY**

	2012 Consolidated KShs'000	2013 Consolidated KShs'000	2014 Consolidated KShs'000	2015 Consolidated KShs'000	2016 Consolidated KShs'000
Sales	4,300,608	4,502,964	5,098,417	3,724,212	3,650,451
Profit/(loss) before tax	753,243	585,400	507,483	(1,087,004)	(810,349)
Tax (expense)/credit	(231,183)	(187,198)	(166,334)	345,800	227,747
Profit/(loss) after tax	522,060	398,202	341,149	(741,204)	(582,602)
Non-controlling interest	(81,328)	(51,787)	(46,578)	181,184	127,877
Profit/(loss) attributable to parent company shareholders	440,732	346,415	294,571	(560,020)	(454,725)
Dividends	(253,125)	(253,125)	(253,125)	-	-
Retained profit/(loss)	187,607	93,290	41,446	(560,020)	(454,725)
Earnings per share (KShs) - Restated	1.74	1.37	1.16	(2.21)	(1.80)
Dividend per share (KShs)	1.00	1.00	1.00	-	-

STATEMENT OF FINANCIAL POSITION SUMMARY

Non-current assets	3,217,203	3,226,081	4,042,701	5,439,068	5,318,844
Current assets	3,031,439	3,583,184	3,846,795	2,945,075	2,229,562
TOTAL ASSETS	6,248,642	6,809,265	7,889,496	8,384,143	7,548,406
Equity and liabilities					
Share capital	126,563	126,563	126,563	126,563	126,563
Reserves	2,214,685	2,307,975	2,324,108	2,424,589	1,969,864
Exchange differences	(18,533)	(22,101)	(35,066)	(91,987)	(97,475)
Non-controlling interest	602,314	654,101	676,272	690,822	557,457
Total equity	2,925,029	3,066,538	3,091,877	3,149,987	2,556,409
Non-current liabilities	791,387	1,111,573	1,503,930	2,079,046	1,672,873
Current liabilities	2,532,226	2,631,154	3,293,689	3,155,110	3,319,124
TOTAL EQUITY AND LIABILITIES	6,248,642	6,809,265	7,889,496	8,384,143	7,548,406

NOTES

To:

The Company Secretary
 East African Cables Limited
 P.O Box 40111 - 00100 GPO
 Nairobi, Kenya

PROXY FORM

I/We _____

of _____

Being a member (s) of East African Ltd, hereby appoint _____

of _____

or failing him/her _____

of _____

To vote for me/us/on my/our behalf at the 52nd Annual General Meeting of the said company to be held at 11:00 a.m. on
 Thursday 22nd June 2017 and at the adjournment thereof:

Signed this _____ day of _____ 2017.

Signature (s) _____

Note: In the case of a Corporation, the proxy must be executed under the Common Seal or under the hands of an officer or Attorney duly
 authorised in writing.

Hati ya Uwakilishi

Mimi/Sisi _____

wa _____

Nikiwa/tukiwa/mwanachama wa Kampuni hii ya East African Cables Ltd., namchagua/tunamchagua

_____ wa _____

au akikosa yeye/wakikosa wao _____

Kupiga kura kwa niaba yangu/yetu katika Mkutano Mkuu wa mwaka wa 52 wa kampuni hii, utakaofanyika saa tano asubuhi
 Alhamisi Juni 22, 2017 ama siku nyingine ikiwa Mkutano huo utaahirishwa.

Hati hii imetiwa sahihi hivi leo tarehe _____ mwezi wa _____ 2017

Sahihi _____

Muhimu: Ikiwa ni kampuni ndiyo inayowakilishwa hati hii ya uwakilishi lazima ikamilishwe kwa kuwekwa muhuri maalum au kutiwa
 sahihi kwa niaba yake na wakili ama afisa anayeruhusiwa wa shirika hilo.

KENYA- NAIROBI

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